

Samsung Biologics Co., Ltd.

Separate Financial Statements

December 31, 2023 and 2022

Samsung Biologics Co., Ltd.
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December 31, 2023 and 2022

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Independent Auditor's Report

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying separate financial statements of Samsung Biologics Co., Ltd. (the "Company"), which comprise the separate statements of financial position as at December 31, 2023 and 2022, and the separate statements of comprehensive income, separate statements of changes in equity and separate statements of cash flows for the years then ended, and notes to the separate financial statements, including material accounting policy information.

In our opinion, the accompanying separate financial statements present fairly, in all material respects, the separate financial position of the Company as at December 31, 2023 and 2022, and its separate financial performance and its separate cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

We also have audited, in accordance with Korean Standards on Auditing, the Company's Internal Control over Financial Reporting as at December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*, and our report dated February 28, 2024 expressed an unqualified opinion.

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 34 to the separate financial statements.

Administrative lawsuit against a ruling of the Securities and Futures Commissions

As described in Note 34 to the separate financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Company's financial statements including alleged errors in accounting for the Company's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Company submitted requests to the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and the Court accepted the Company's requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit against a ruling of the SFC is in progress, and it is not possible to predict the outcome.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the separate financial statements of the current period. These matters were addressed in the context of our audit of the separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Revenue recognition cut-off of CMO batch sales

Why it is determined to be a Key Audit Matter

The Company operates a CMO (Contract Manufacturing Organization) business which is engaged for the production of bio-medicine. The Company's revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Company recognizes revenue over time when the transfer of control of produced bio-medicine to a customer is made (Note 2).

Since the timing of transfer of control of CMO batch sales may vary depending on the transaction agreement between parties, the timing of recognition of CMO business revenue is identified as a significant risk. And we determined that revenue recognition cut-off of the CMO batch sales to be a key audit matter as its size in the consolidated financial statements is significant.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Assessed the reasonableness of the accounting policy in relation to revenue recognition.
- Obtained an understanding and evaluated internal controls over the determination of the timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the revenue recognition point by project through audit sampling.

Other Matter

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the separate financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samuel PricewaterhouseCoopers

Seoul, Korea
February 28, 2024

This report is effective as of February 28, 2024, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying separate financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd.
Separate Statements of Financial Position
December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Assets			
Current assets			
Cash and cash equivalents	5,6,33	₩ 230,790,684,551	₩ 757,945,988,143
Short-term financial instruments	5,33	1,650,000,000,000	2,168,901,000,000
Financial assets at fair value through profit or loss	5,33	-	98,505,711,790
Trade and other receivables	5,8,31,33	390,232,937,790	503,997,178,409
Inventories	10,25	1,678,605,972,283	1,243,171,975,151
Contract assets	9,33	66,670,533,149	95,823,666,322
Other current financial assets	5,11,33	36,987,658,039	37,047,599,149
Other current assets	12	17,125,082,302	13,964,459,536
		<u>4,070,412,868,114</u>	<u>4,919,357,578,500</u>
Non-current assets			
Long-term financial instruments	5,7,33	5,186,000,000	5,187,000,000
Trade and other receivables	5,8,31,33	10,050,690,285	10,635,001,947
Investments in subsidiary, associate and joint venture	13	3,317,532,174,094	3,308,792,565,514
Property, plant and equipment	14	3,542,877,089,587	3,083,545,436,767
Intangible assets	15	53,780,529,889	39,436,621,913
Right-of-use asset	19	458,677,499,904	451,792,929,789
Net defined benefit assets	21	20,587,959,706	28,625,478,854
Contract assets	9, 33	272,476,716,042	208,515,931,997
Deferred tax assets	28	61,623,782,422	82,270,164,199
Other non-current financial assets	5,11,33	16,966,656,089	25,954,612,332
Other non-current assets	12	1,088,638,424	1,725,557,715
		<u>7,760,847,736,442</u>	<u>7,246,481,301,027</u>
Total assets		<u>₩ 11,831,260,604,556</u>	<u>₩ 12,165,838,879,527</u>
Liabilities			
Current liabilities			
Trade and other payables	5,17,21,31,33	₩ 1,028,688,065,985	₩ 1,628,734,131,092
Emission liability	18	863,719,120	538,848,000
Debentures and borrowings	5,16,30,32,33	808,405,014,266	517,997,721,221
Contract liabilities	9,31	74,138,341,143	64,204,826,542
Lease liabilities	5,19,32,33	142,466,812,128	140,991,867,493
Current tax liabilities		167,659,857,975	187,319,244,039
Other current liabilities	9,20,31	732,055,396,556	450,889,828,622
		<u>2,954,277,207,173</u>	<u>2,990,676,467,009</u>

Samsung Biologics Co., Ltd.
Separate Statements of Financial Position
December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Non-current liabilities			
Trade and other payables	5,17,21,31,33	11,661,214,313	542,653,723,715
Debentures and borrowings	5,16,30,32,33	119,782,549,508	745,090,332,157
Derivative liabilities	5	24,643,703,711	22,733,991,336
Contract liabilities	9,31	279,735,405,270	225,477,213,506
Lease liabilities	5,19,32,33	135,737,149,042	266,232,582,703
Other non-current liabilities	9,20,31	66,789,592,807	76,371,350,821
		<u>638,349,614,651</u>	<u>1,878,559,194,238</u>
Total liabilities		<u>3,592,626,821,824</u>	<u>4,869,235,661,247</u>
Equity			
Share capital	1,22	177,935,000,000	177,935,000,000
Share premium	22	5,672,425,121,121	5,672,425,121,121
Accumulated other comprehensive loss	21,22	(10,615,840,578)	(6,726,079,112)
Retained earnings		<u>2,398,889,502,189</u>	<u>1,452,969,176,271</u>
Total equity		<u>8,238,633,782,732</u>	<u>7,296,603,218,280</u>
Total liabilities and equity		<u>₩ 11,831,260,604,556</u>	<u>₩ 12,165,838,879,527</u>

The above separate statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Comprehensive Income
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Note	2023	2022
Revenue	4,23,31	₩ 2,938,755,680,729	₩ 2,437,286,111,838
Cost of revenue	9,10,23,25, 31	<u>(1,448,384,619,849)</u>	<u>(1,237,054,032,373)</u>
Gross profit		<u>1,490,371,060,880</u>	<u>1,200,232,079,465</u>
Selling, general and administrative expenses	24,25,31	<u>(286,183,067,839)</u>	<u>(232,181,485,796)</u>
Operating Income		<u>1,204,187,993,041</u>	<u>968,050,593,669</u>
Other income	26,31	2,453,261,094	5,223,508,259
Other expenses	26	(7,316,183,337)	(6,573,709,727)
Finance income	5,27	174,498,682,070	133,144,781,349
Finance costs	5,27	<u>(149,640,340,368)</u>	<u>(176,958,166,068)</u>
Profit before income tax		1,224,183,412,500	922,887,007,482
Income tax expense	28	<u>(278,263,086,582)</u>	<u>(236,094,070,965)</u>
Profit for the year		<u>945,920,325,918</u>	<u>686,792,936,517</u>
Other comprehensive income (loss)		(3,889,761,466)	6,217,700,536
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	21,22	<u>(3,889,761,466)</u>	<u>6,217,700,536</u>
Total comprehensive income for the year		<u>₩ 942,030,564,452</u>	<u>₩ 693,010,637,053</u>
Earnings per share			
Basic earnings per share	29	₩ 13,290	₩ 9,847
Diluted earnings per share	29	13,290	9,838

The above separate statements of comprehensive income should be read in conjunction with the accompanying note.

Samsung Biologics Co., Ltd.
Separate Statements of Changes in Equity
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	Share capital	Share premium	Accumulated other comprehensive income (loss)	Retained earnings	Total
Balance at January 1, 2022		₩ 165,412,500,000	₩ 2,496,626,850,551	₩ (12,943,779,648)	₩ 766,176,239,754	₩ 3,415,271,810,657
Total comprehensive income						
Profit for the year		-	-	-	686,792,936,517	686,792,936,517
Other comprehensive income						
Remeasurements of net defined benefit liabilities	21,22	-	-	6,217,700,536	-	6,217,700,536
Total comprehensive income for the year		-	-	6,217,700,536	686,792,936,517	693,010,637,053
Transactions with owners						
Capital increase	22	12,522,500,000	3,175,798,270,570	-	-	3,188,320,770,570
Balance at December 31, 2022		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (6,726,079,112)	₩ 1,452,969,176,271	₩ 7,296,603,218,280
Balance at January 1, 2023		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (6,726,079,112)	₩ 1,452,969,176,271	₩ 7,296,603,218,280
Total comprehensive income						
Profit for the year		-	-	-	945,920,325,918	945,920,325,918
Other comprehensive loss						
Remeasurements of net defined benefit liabilities	21,22	-	-	(3,889,761,466)	-	(3,889,761,466)
Total comprehensive income for the year		-	-	(3,889,761,466)	945,920,325,918	942,030,564,452
Balance at December 31, 2023		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ (10,615,840,578)	₩ 2,398,889,502,189	₩ 8,238,633,782,732

The above separate statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Cash Flows
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Cash flows from operating activities			
Profit for the year	₩	945,920,325,918	₩ 686,792,936,517
Adjustments for:			
Retirement benefits	21	23,437,484,360	25,011,191,477
Depreciation	14,24,25	235,737,539,919	163,440,977,276
Amortization of intangible assets	15,24,25	9,376,740,359	7,491,092,086
Depreciation of right-of-use asset	19	9,782,111,537	9,860,117,778
Loss on valuation of inventories	10	12,412,931,101	23,015,634,348
Impairment loss on contract assets	9	1,283,116,281	-
Loss on retirement of property, plant and equipment	26	2,764,395,398	1,528,177,837
Gain on disposal of property, plant and equipment	26	(92,683,074)	-
Loss on disposal of property, plant and equipment	26	823,494,165	383,895,909
Loss on retirement of intangible assets	26	365,077,000	724,075,601
Loss on disposal of intangible assets	26	-	2,000
Gain on foreign currency translations	27	(8,646,448,012)	(5,258,125,741)
Loss on foreign currency translations	27	15,405,623,915	95,802,571,313
Gain on valuation of derivatives	5,27	(1,962,774,713)	(7,670,099,304)
Loss on valuation of derivatives	5,27	1,909,712,375	2,192,006,326
Gain on disposal of investments	13,26	(368,217,855)	-
Reversal of impairment loss on investments	13,26	-	(3,813,591,420)
Cost of emissions	18	863,719,120	538,848,000
Interest income	5,27	(90,298,932,094)	(51,311,431,424)
Interest expenses	5,27	55,814,144,215	48,401,425,057
Gain on valuation of financial assets at fair value through profit or loss	5,27	-	(35,933,458)
Gain on disposal of financial assets at fair value through profit or loss	5,27	-	(7,293,768,431)
Bad debt expenses	33	21,510,607,254	22,406,812,819
Income tax expense	28	278,263,086,582	236,094,070,965
Others		(549,412,605)	(1,378,756,847)
		<u>567,831,315,228</u>	<u>560,129,192,167</u>
Change in operating assets and liabilities:			
Trade and other receivables		94,897,061,580	(161,417,355,595)
Inventories		(447,730,701,728)	(253,226,707,546)
Deposits provided		1,717,959,000	(5,068,501,000)
Contract assets		(38,981,881,763)	(51,493,928,682)
Other assets		6,686,472,371	(6,152,186,710)
Trade and other payables		187,940,966,400	112,039,849,777
Contract liabilities		64,191,706,365	4,060,211,534
Emission liability		(538,848,000)	(725,692,500)
Advance receipts		270,283,394,132	134,765,416,620
Other liabilities		1,300,415,788	(1,249,326,342)
Retirement benefits paid	21	(3,393,707,460)	(2,111,745,300)

Samsung Biologics Co., Ltd.
Separate Statements of Cash Flows
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Transfer from affiliates of defined benefit liabilities	21	-	173,850,000
Contributions to plan assets	21	(18,728,825,464)	(40,143,887,152)
		<u>117,644,011,221</u>	<u>(270,550,002,896)</u>
Interest received		84,752,113,333	41,666,176,698
Interest paid		(21,941,208,478)	(12,960,232,777)
Income tax paid		<u>(275,992,165,243)</u>	<u>(173,979,225,103)</u>
Net cash inflow from operating activities		<u>1,418,214,391,979</u>	<u>831,098,844,606</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		8,367,222,000,000	7,372,906,288,210
Decrease in long-term financial instruments		1,000,000	-
Decrease in financial assets at fair value through profit or loss		98,505,711,790	4,050,000,000,000
Disposal of property, plant and equipment	14	2,683,629,614	12,050,000
Decrease in investments in associate and joint venture	13	4,181,809,275	-
Increase in short-term financial instruments		(7,848,321,000,000)	(9,124,240,288,210)
Increase in long-term financial instruments		-	(5,180,000,000)
Increase in financial assets at fair value through profit or loss		-	(3,298,505,711,790)
Acquisition of property, plant and equipment	14	(976,195,716,688)	(948,126,930,126)
Acquisition of intangible assets	15	(25,106,734,680)	(12,199,985,471)
Acquisition of investments in associate and joint venture	13	(12,553,200,000)	(15,510,000,000)
Acquisition of investments in subsidiary	13	<u>(1,071,525,000,000)</u>	<u>(1,243,592,135,762)</u>
Net cash outflow from investing activities		<u>(1,461,107,500,689)</u>	<u>(3,224,436,713,149)</u>
Cash flows from financing activities			
Proceeds from short-term borrowings	16,32	220,000,000,000	50,000,000,000
Proceeds from long-term borrowings	16,32	-	91,903,000,000
Capital increase	22	-	3,200,751,000,000
Repayment of debentures	16,32	(40,000,000,000)	-
Repayment of short-term borrowings	16,32	(50,000,000,000)	(50,000,000,000)
Repayment of current portion of long-term borrowings	16,32	(426,699,000,000)	(109,855,000,000)
Repayment of long-term borrowings	16,32	(39,339,000,000)	-
Repayment of lease liabilities	19,32	(155,848,043,673)	(55,185,705,417)
Stock issuance cost		-	(12,430,229,430)
Net cash inflow (outflow) from financing activities		<u>(491,886,043,673)</u>	<u>3,115,183,065,153</u>

Samsung Biologics Co., Ltd.
Separate Statements of Cash Flows
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Net increase (decrease) in cash and cash equivalents		(534,779,152,383)	721,845,196,610
Cash and cash equivalents at the beginning of the year		757,945,988,143	39,169,916,298
Effects of exchange rate changes on cash and cash equivalents		<u>7,623,848,791</u>	<u>(3,069,124,765)</u>
Cash and cash equivalents at the end of the year		<u>₩ 230,790,684,551</u>	<u>₩ 757,945,988,143</u>

The above separate statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2023 and 2022

1. General Information

Samsung Biologics Co., Ltd. (the Company) was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As at December 31, 2023, the Company's share capital is ₩ 177,935 million.

The shareholders of the Company as at December 31, 2023, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	30,646,705	43.06
Samsung Electronics Co., Ltd.	22,217,309	31.22
Others	18,309,986	25.72
	<u>71,174,000</u>	<u>100.00</u>

2. Material Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Company maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Company's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The financial statements of the Company have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
December 31, 2023 and 2022

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Company

The Company has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2023.

(a) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of Accounting Policies

The amendments to Korean IFRS 1001 define and require entities to disclose their material accounting policy information (being information that, when considered together with other information included in an entity's financial statements, can reasonably be expected to influence decisions that the primary users of financial statements make on the basis of those financial statements). The amendments do not have a significant impact on the financial statements.

(b) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of gain or loss on valuation of financial liabilities subject to adjustment of exercise price

If the entire or a part of financial instrument, whose exercise price is subject to change due to the issuer's share price, is classified as a financial liability, the carrying amount of the financial liability and related gains and losses shall be disclosed. The amendments do not have a significant impact on the financial statements.

(c) Korean IFRS 1008 Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates

The amendments define accounting estimates and clarify how to distinguish them from changes in accounting policies. The amendments do not have a significant impact on the financial statements.

(d) Korean IFRS 1012 Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments include an additional condition to the exemption to initial recognition of an asset or liability that a transaction does not give rise to equal taxable and deductible temporary differences at the time of the transaction. The amendments do not have a significant impact on the financial statements.

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(e) New Standard: Korean IFRS 1117 Insurance Contract

Korean IFRS 1117 Insurance Contracts replaces Korean IFRS 1104 Insurance Contracts. This Standard estimates future cash flows of an insurance contract and measures insurance liabilities using discount rates applied with assumptions and risks at the measurement date. The entity recognizes insurance revenue on an accrual basis including services (insurance coverage) provided to the policyholder by each annual period. In addition, investment components (Refunds due to termination/maturity) repaid to a policyholder even if an insured event does not occur, are excluded from insurance revenue, and insurance financial income or expense and the investment income or expense are presented separately to enable users of the information to understand the sources of income or expenses. This standard does not have a significant impact on the financial statements.

(f) Korean IFRS 1012 Income Taxes - International Tax Reform – Pillar Two Model Rules

The amendments provide a temporary relief from the accounting for deferred taxes arising from legislation enacted to implement the Pillar Two model rules, which aim to reform international corporate taxation for multinational enterprises, and require disclosure of related current tax effects, etc.

The Company applies the exception to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes. Since the Pillar Two legislation is scheduled to be effective from January 1, 2024, the Company has no current tax expense related to Pillar Two. The impact of the Pillar Two income taxes is described in Note 28.

2.2.2 New standards and interpretations not yet adopted by the Company

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2023 reporting periods and have not been early adopted by the Company.

(a) Amendments to Korean IFRS 1001 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current, Non-current Liabilities with Covenants

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability includes the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle them by the entity's own equity instruments if compound financial instruments is met the definition of equity instruments and recognized separately from the liability. In addition, covenants that an entity is required to comply with after the end of the reporting period would not affect classification of a liability as current or non-current at the reporting date. When an entity classifies a liability that is subject to the covenants which an entity is required to comply with within twelve months of the reporting date as non-current at the end of the reporting period, the entity shall disclose information in the notes to understand the risk that non-current liabilities with covenants could

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become repayable within twelve months after the reporting period. The amendments should be applied for annual periods beginning on or after January 1, 2024. The Company is in review for the impact of these amendments on the financial statements.

(b) Amendments to Korean IFRS 1007 Statement of Cash Flows, Korean IFRS 1107 Financial Instruments: Disclosures – Supplier finance arrangements

When applying supplier finance arrangements, an entity shall disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk. The amendments should be applied for annual periods beginning on or after January 1, 2024. The Company is in review for the impact of these amendments on the financial statements.

(c) Amendments to Korean IFRS 1116 Leases - Lease Liability in a Sale and Leaseback

When subsequently measuring lease liabilities arising from a sale and leaseback, a seller-lessee shall determine lease payments or revised lease payments in a way that the seller-lessee would not recognize any amount of the gain or loss that relates to the right of use retained by the seller-lessee. The amendments should be applied for annual periods beginning on or after January 1, 2024. The Company is in review for the impact of these amendments on the financial statements.

(d) Amendments to Korean IFRS 1001 Presentation of Financial Statements – Disclosure of Cryptographic Assets

The amendments require for an additional disclosure if an entity holds cryptographic assets, or holds cryptographic assets on behalf of the customer, or issues cryptographic assets. The amendments should be applied for annual periods beginning on or after January 1, 2024. The amendments do not have a significant impact on the financial statements.

2.3 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.4 Subsidiaries, Associates and Joint Ventures

The Company, as the controlling company in accordance with Korean IFRS 1110, *Consolidated Financial Statements*, invests in Samsung Bioepis Co., Ltd., Samsung Biologics America, Inc., which are subsidiaries, and SVIC No.54 New Technology Business Investment L.L.P. and SVIC No.64 New Technology Business Investment L.L.P. which are associates and joint ventures.

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Associates are those entities in which the Company has significant influence, but not control or joint control, over the financial and operating policies. A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in subsidiaries, associates and joint ventures are recognized under the cost method in accordance with Korean IFRS 1027, *Separate Financial Statements* on the Company's separate financial statements.

If there is any objective evidence that the investments in subsidiaries, associates and joint ventures is impaired, the Company recognizes the difference between the recoverable amount and the carrying amount as impairment loss.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the "functional currency"). The financial statements are presented in Korean won, which is the Company's functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

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2.6 Financial Assets

(a) Classification

The Company classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Company reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Company has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

(b) Measurement

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

A. Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the cash flow characteristics of the asset. The Company classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.

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- Fair value through other comprehensive income: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- Fair value through profit or loss: Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Company subsequently measures all equity investments at fair value. Where the Company's management has elected to present fair value gains and losses on equity investments, which are held for long-term investments or strategic purposes, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investments. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and costs'. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately.

(c) Impairment

The Company assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables and other receivables and contract assets, the Company applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition of the receivables (Note 33).

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on the trade-date, the date on which the Company commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Company has retained substantially all the risks and rewards of ownership of the transferred asset, the Company continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received.

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(e) Offsetting of financial instruments

Financial assets and liabilities are offset and reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and also in the event of default, insolvency or bankruptcy of the Company or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in finance income (costs) based on the nature of transactions.

2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value. Trade receivables are subsequently measured at amortized cost using the effective interest method, deducting loss allowances.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method or moving weighted average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

Inventories are measured at the lower of cost and net realizable value. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

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2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 – 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Company capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

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To the extent that the Company borrows funds specifically for the purpose of obtaining a qualifying asset, the Company determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Company borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Company shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Company that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Company capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all attached conditions. Government grants related to assets are presented as a deduction when calculating the carrying amount of assets, and subsidies related to income are deferred and presented as a deduction from related expenses for the purpose of the government grants.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Company is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Company recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Intangible assets are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Subsequent expenditures are capitalized only when they increase the future economic benefits embodied in the specific asset to which it relates. All other expenditures, including expenditures on internally generated goodwill, are recognized in profit or loss as incurred.

Amortization of intangible assets is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and are not amortized.

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	Useful lives
Software	5 years
Other intangible assets	5
Land use rights	50
Memberships	indefinite
Trademarks, Patent rights	10

Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

2.14 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.15 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

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2.16 Financial Liabilities

(a) Classification and measurement

The Company's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Company classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

2.17 Provisions and Contingencies

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

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2.18 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.19 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

The Company recognizes a deferred tax liability all taxable temporary differences associated with investments in subsidiaries, associates, and interests in joint arrangements, except to the extent that the Company is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Company recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

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Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Company has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.20 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Company during an accounting period, the Company recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their services in the current and prior periods. Any changes from re-measurements are recognized through profit or loss in the period in which they arise.

(c) Post-employment benefits : defined benefit plan

The Company operates both defined contribution and defined benefit pension plans.

For defined contribution plans, the Company pays contribution to publicly or privately administered pension insurance plans on mandatory, contractual or voluntary basis. The Company has no further payment obligation once the contribution has been paid. The contribution is recognized as employee benefit expense when they are due.

A defined benefit plan is a pension plan that is not a defined contribution plan. Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depend on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

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Changes in the present value of the defined benefit obligation resulting from plan amendments, curtailments or settlements are recognized immediately in profit or loss as past service costs.

2.21 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.22 Earnings per Share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held.

2.23 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Company manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Company provides cell line and upstream/downstream process development services. The Company recognizes cell line and upstream/downstream process development services as distinct performance obligations.

(b) Performance obligation satisfied over time

- CMO business

Goods manufactured by the Company do not have an alternative use to the Company, and it has an enforceable right to payment for performance completed to date. This is because that the Company produces biomedicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Company recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

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- CDO business

Revenue is recognized over the contract period as a customer simultaneously receives and consumes the benefits provided by the Company as the Company performs research and development services.

(c) Costs to fulfill a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

(d) Contract assets and contract liabilities

- CMO business

The Company recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Company estimates the amount of consideration to which the Company will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

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2.24 Leases

(a) Lessor

Lease income from operating leases where the Company is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Company leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Company is lessee, the Company applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Extension and termination options are included in a number of leases across the Company. These terms are used to maximize operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

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Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Company is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Company elected not to apply that revaluation model to buildings held by the Company that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.25 Approval of Issuance of the Financial Statements

The financial statements 2023 were approved for issue by the Board of Directors on January 24, 2024 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of financial statements requires the Company to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Company's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Income taxes

The Company's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

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If certain portion of the taxable income is not used for investments or increase in wages or dividends in accordance with the *Tax System for Recirculation of Corporate Income*, the Company is liable to pay additional income tax calculated based on the tax laws. The new tax system is effective for three years from 2015. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Company's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

(b) Impairment of investments in subsidiaries

The Company reviews whether there are any impairment indicators of investments in subsidiaries annually at the end of each reporting period. An impairment assessment is performed when it is determined that there is an indicator of impairment or considering the material amount of investments at the end of every year. The carrying value is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. An impairment loss is recognized immediately as an expense and is subsequently reversed as the recoverable amount of the investment subsequently increases.

(c) Impairment of costs to fulfill a contract

The Company reviews whether there are any impairment indicators of costs to fulfill a contract at the end of each reporting period. The Company recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfill a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Net defined benefit asset

The present value of net defined benefit asset depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate (Note 21).

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4. Operating Segments

The Company has disclosed information related to the operating segment in the financial statements in accordance with Korean IFRS 1108. The Company has one reportable segment, 'CDMO (Contract Development and Manufacturing Organization)', as at December 31, 2023.

Details of customers, who contribute over 10% of the Company's total revenue for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Client A	₩ 432,677,504	₩ 491,758,988
Client B	337,936,129	393,735,445
Client C	292,479,658	360,788,314
Client D	310,210,010	28,634,365
	<u>₩ 1,373,303,301</u>	<u>₩ 1,274,917,112</u>

Geographic revenue for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Domestic	₩ 336,817,832	₩ 231,501,412
Europe	1,749,613,524	1,422,664,522
USA	772,217,979	674,431,822
Other	80,106,346	108,688,356
	<u>₩ 2,938,755,681</u>	<u>₩ 2,437,286,112</u>

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

		2023	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 230,790,685	₩ 230,790,685
Short-term financial instruments	-	1,650,000,000	1,650,000,000
Financial assets at fair value through profit or loss	-	-	-
Trade and other receivables	-	350,289,495	350,289,495
Deposits provided	-	32,475,004	32,475,004
Derivative assets ¹	4,512,654	-	4,512,654
	<u>4,512,654</u>	<u>2,263,555,184</u>	<u>2,268,067,838</u>
Non-current assets			
Long-term financial instruments	-	5,186,000	5,186,000
Trade and other receivables	-	10,050,690	10,050,690
Deposits provided	-	16,966,656	16,966,656
Derivative assets ¹	-	-	-
	<u>-</u>	<u>32,203,346</u>	<u>32,203,346</u>
	<u>₩ 4,512,654</u>	<u>₩ 2,295,758,530</u>	<u>₩ 2,300,271,184</u>

(in thousands of Korean won)

		2022	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 757,945,988	₩ 757,945,988
Short-term financial instruments	-	2,168,901,000	2,168,901,000
Financial assets at fair value through profit or loss	98,505,712	-	98,505,712
Trade and other receivables	-	460,372,562	460,372,562
Deposits provided	-	29,944,498	29,944,498
Derivative assets ¹	7,103,101	-	7,103,101
	<u>105,608,813</u>	<u>3,417,164,048</u>	<u>3,522,772,861</u>
Non-current assets			
Long-term financial instruments	-	5,187,000	5,187,000
Trade and other receivables	-	10,635,002	10,635,002
Deposits provided	-	21,295,643	21,295,643
Derivative assets ¹	4,658,970	-	4,658,970
	<u>4,658,970</u>	<u>37,117,645</u>	<u>41,776,615</u>
	<u>₩ 110,267,783</u>	<u>₩ 3,454,281,693</u>	<u>₩ 3,564,549,476</u>

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¹ Details of the currency interest swap which the Company entered for the borrowing in foreign currency as at December 31, 2023, are as follows:

Classification	Category	Financial institution	Contracted amount	Contract date	Maturity date	Currency		Contracted exchange rate	Interest rate(%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Woori Bank	USD 30,000,000	2021-08-30	2024-08-30	USD	KRW	1,164.00	Compounded SOFR(3M)+1.20	2.15

(b) Financial liabilities

Categories of financial liabilities as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

		2023			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 888,790,398	₩ -	₩ 888,790,398
Debentures		-	379,723,014	-	379,723,014
Short-term borrowings		-	220,000,000	-	220,000,000
Current portion of long-term borrowings		-	208,682,000	-	208,682,000
Lease liabilities		-	-	142,466,812	142,466,812
		-	1,697,195,412	142,466,812	1,839,662,224
Non-current liabilities					
Trade and other payables ¹		-	-	-	-
Debentures		-	119,782,550	-	119,782,550
Long-term borrowings		-	-	-	-
Derivative liabilities		24,643,704	-	-	24,643,704
Lease liabilities		-	-	135,737,149	135,737,149
		24,643,704	119,782,550	135,737,149	280,163,403
	₩	24,643,704	₩ 1,816,977,962	₩ 278,203,961	₩ 2,119,825,627

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(in thousands of Korean won)

		2022			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 1,511,618,373	₩	- ₩ 1,511,618,373
Debentures		-	39,978,722	-	39,978,722
Short-term borrowings		-	50,000,000	-	50,000,000
Current portion of long-term borrowings		-	428,019,000	-	428,019,000
Lease liabilities		-	-	140,991,867	140,991,867
		-	2,029,616,095	140,991,867	2,170,607,962
Non-current liabilities					
Trade and other payables ¹		-	532,829,743	-	532,829,743
Debentures		-	499,052,332	-	499,052,332
Long-term borrowings		-	246,038,000	-	246,038,000
Derivative liabilities	22,733,991	-	-	-	22,733,991
Lease liabilities		-	-	266,232,583	266,232,583
		22,733,991	1,277,920,075	266,232,583	1,566,886,649
	₩	22,733,991	₩ 3,307,536,170	₩ 407,224,450	₩ 3,737,494,611

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

(c) *The fair values of financial instruments*

The fair values of financial instruments, together with the carrying amounts shown in the statements of financial position as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

		2023		2022	
		Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at fair value					
Financial assets at fair value through profit or loss	₩	-	₩	- ₩ 98,505,712	₩ 98,505,712
Derivative assets		4,512,654	4,512,654	11,762,070	11,762,070
		4,512,654	4,512,654	110,267,782	110,267,782
Assets measured at amortized cost					
Cash and cash equivalents		230,790,685	230,790,685	757,945,988	757,945,988
Short-term financial instruments		1,650,000,000	1,650,000,000	2,168,901,000	2,168,901,000
Long-term financial instruments		5,186,000	5,186,000	5,187,000	5,187,000
Trade and other receivables		360,340,186	360,340,186	471,007,564	471,007,564
Deposits provided		49,441,660	49,441,660	51,240,141	51,240,141
		2,295,758,531	2,295,758,531	3,454,281,693	3,454,281,693
	₩	2,300,271,185	₩ 2,300,271,185	₩ 3,564,549,475	₩ 3,564,549,475

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Liabilities carried at fair value

Derivative liabilities	₩	24,643,704	₩	24,643,704	₩	22,733,991	₩	22,733,991
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Liabilities carried at amortized cost

Trade and other payables		888,790,398		888,790,398		2,044,448,116		2,044,448,116
Debentures		499,505,564		499,505,564		539,031,053		539,031,053
Borrowings		428,682,000		428,682,000		724,057,000		724,057,000
		1,816,977,962		1,816,977,962		3,307,536,169		3,307,536,169
	₩	1,841,621,666	₩	1,841,621,666	₩	3,330,270,160	₩	3,330,270,160

¹ The Company used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

(d) Fair value hierarchy

Fair value hierarchy classifications of the financial instruments that are measured at fair value as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

		2023			
		Level 1	Level 2	Level 3	Total
Financial assets					
Derivative assets	₩	-	₩ 4,512,654	₩ -	₩ 4,512,654
Financial liabilities					
Derivative liabilities		-	-	24,643,704	24,643,704

(in thousands of Korean won)

		2022			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 98,505,712	₩ -	₩ 98,505,712
Derivative assets		-	11,762,071	-	11,762,071
Financial liabilities					
Derivative liabilities		-	-	22,733,991	22,733,991

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(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2, 3 as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Fair value		Levels	Valuation techniques	Significant unobservable inputs
	2023	2022			
Financial assets at fair value through profit or loss	₩ -	₩ 98,505,712	2	Market approach	-
Derivative assets (currency interest swap)	4,512,654	10,643,637	2	Discount cash flow model	Currency forward rate, discount rate, interest rate and others
Derivative assets (interest swap)	-	1,118,434			Interest rate, discount rate, and others
Derivative liabilities (contingent considerations in the stock purchase)	24,643,704	22,733,991	3	Option model	Discount rate and others

(f) Valuation Processes for Fair Value Measurements Categorized as Level 3

The Company's finance department operates a separate team that performs the fair value measurements required for financial reporting purposes, including level 3 fair values. Discussions of valuation process and result are held at reporting date, in line with the Company's end of each reporting periods.

(g) Sensitivity analysis of financial instruments is performed to measure favourable and unfavourable changes in the fair value of financial instruments which are affected by the unobservable parameters, using a statistical technique. When the fair value is affected by more than two input parameters, the most favourable or most unfavourable amounts are presented.

(in thousands of Korean won)

Inputs ¹	Volatility	Favorable changes	Unfavorable changes
Discount rate	0.50%	₩ 241,408	₩ (242,761)

¹ For derivative liabilities, changes in their fair value are calculated by increasing or decreasing significant unobservable inputs among the input variables used to calculate the fair value of the underlying assets.

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(h) Net Gains or Losses by Category of Financial Instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest income (expenses)		Gain (loss) on valuation		Other income (expenses)¹		Net income (loss)	
	2023	2022	2023	2022	2023	2022	2023	2022
Financial assets at amortized cost	₩ 90,298,932	₩ 51,311,431	₩ -	₩ -	₩ (438,512)	₩ (53,464,555)	₩ 89,860,420	₩ (2,153,124)
Financial assets at fair value through profit or loss	-	-	-	35,933	-	7,293,768	-	7,329,701
Derivative assets	-	-	1,962,775	7,670,099	-	-	1,962,775	7,670,099
Financial liabilities at amortized cost	(47,983,901)	(45,781,933)	-	-	(7,825,806)	(6,066,631)	(55,809,707)	(51,848,564)
Derivative liabilities	-	-	(1,909,712)	(2,192,006)	(1,415,191)	-	(3,324,903)	(2,192,006)
Other liabilities	(7,830,243)	(2,619,492)	-	-	-	-	(7,830,243)	(2,619,492)
	<u>₩ 34,484,788</u>	<u>₩ 2,910,006</u>	<u>₩ 53,063</u>	<u>₩ 5,514,026</u>	<u>₩ (9,679,509)</u>	<u>₩ (52,237,418)</u>	<u>₩ 24,858,342</u>	<u>₩ (43,813,386)</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and gain (loss) on disposal of financial assets at fair value through profit or loss.

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6. Cash and Cash Equivalents

Cash and cash equivalents as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		2022
Cash equivalents	₩	230,790,685	₩	757,945,988

7. Restricted Financial Instruments

Restriction of financial instruments as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		2022	Note
Long-term financial instruments	₩	6,000	₩	7,000	Deposits on checking accounts
		5,180,000		5,180,000	Pledged amount
	₩	<u>5,186,000</u>	₩	<u>5,187,000</u>	

8. Trade and Other Receivables

Details of trade and other receivables as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		
		Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩	376,014,583	₩ (44,996,121)	₩ 331,018,462
Other receivables		48,244,917	(386,698)	47,858,219
Accrued income		21,406,947	-	21,406,947
Total ²	₩	<u>445,666,447</u>	₩ <u>(45,382,819)</u>	₩ <u>400,283,628</u>

<i>(in thousands of Korean won)</i>		2022		
		Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩	473,683,333	₩ (26,564,727)	₩ 447,118,606
Other receivables		46,468,839	(56,249)	46,412,590
Accrued income		21,100,984	-	21,100,984
Total ²	₩	<u>541,253,156</u>	₩ <u>(26,620,976)</u>	₩ <u>514,632,180</u>

¹ The Company recognized allowance for doubtful account by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

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² Trade and other receivables for related parties as at December 31, 2023 and 2022, are ₩ 22,442,150 thousand and ₩ 54,935,976 thousand, respectively (Note 31).

9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 257,004,834	₩ 96,773,734	₩ (39,423,017)	₩ 314,355,551
Contract assets – unbilled ¹	47,334,764	13,402,570	(35,945,637)	24,791,697
Contract liabilities	289,682,039	177,793,747	(113,602,040)	353,873,746

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

<i>(in thousands of Korean won)</i>	2022			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 224,471,444	₩ 88,109,226	₩ (55,575,836)	₩ 257,004,834
Contract assets - unbilled	28,770,500	38,902,318	(20,338,054)	47,334,764
Contract liabilities	285,621,829	121,485,941	(117,425,731)	289,682,039

Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not constitute a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Company's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Company recognizes any advance consideration received from a customer as contract liabilities, as the performance obligation is fulfilled over a period of time.

Impairment loss on costs incurred to fulfil a contract recognized in profit or loss during the year ended December 31, 2023, amounts to ₩ 1,283,116 thousand, and no impairment loss was recognized for the year ended December 31, 2022.

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Besides the above contract liabilities recognized, the Company classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 520,529,895	₩ 725,696,342	₩ (455,412,948)	₩ 790,813,289

<i>(in thousands of Korean won)</i>	2022			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 385,764,478	₩ 596,843,776	₩ (462,078,359)	₩ 520,529,895

10. Inventories

Details of inventories as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 387,366,619	₩ (5,830,210)	₩ 381,536,409
Work-in-process	418,120,763	(9,165,185)	408,955,578
Raw materials	635,512,285	(7,054,238)	628,458,047
Supplies	267,745,299	(8,089,361)	259,655,938
	<u>₩ 1,708,744,966</u>	<u>₩ (30,138,994)</u>	<u>₩ 1,678,605,972</u>

<i>(in thousands of Korean won)</i>	2022		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 242,933,326	₩ (1,445,167)	₩ 241,488,159
Work-in-process	338,920,651	(18,088,175)	320,832,476
Raw materials	456,050,735	(6,519,173)	449,531,562
Supplies	235,593,730	(4,273,952)	231,319,778
	<u>₩ 1,273,498,442</u>	<u>₩ (30,326,467)</u>	<u>₩ 1,243,171,975</u>

During the year ended December 31, 2023, the amount of inventories recognized as an expense is ₩ 1,340,004 million (2022: ₩ 1,061,404 million), and the amount includes loss on valuation of inventory for ₩ 12,413 million (2022: ₩ 23,016 million).

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11. Other Financial Assets

Details of other financial assets as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 32,475,004	₩ 16,966,656	₩ 29,944,498	₩ 21,295,643
Derivative assets	4,512,654	-	7,103,101	4,658,969
	<u>₩ 36,987,658</u>	<u>₩ 16,966,656</u>	<u>₩ 37,047,599</u>	<u>₩ 25,954,612</u>

12. Other Assets

Details of other assets as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Advance payments	₩ 21,475	₩ -	₩ 2,060,736	₩ -
Prepaid expenses	17,103,607	1,088,638	11,903,724	1,725,558
	<u>₩ 17,125,082</u>	<u>₩ 1,088,638</u>	<u>₩ 13,964,460</u>	<u>₩ 1,725,558</u>

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13. Investments in Subsidiary, Associate and Joint Venture

Investments in subsidiary, associate and joint venture as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Major business location	Primary business	Type	2023		2022	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Samsung Biologics America, Inc.	The United States of America	Bio-medicine business	Subsidiary	₩ 11,914,000	100.00%	₩ 11,914,000	100.00%
Samsung Bioepis Co., Ltd.	Republic of Korea	Biosimilar research and commercialization	Subsidiary	3,265,179,974	100.00%	3,265,179,974	100.00%
Archigen Biotech Limited ¹	The United Kingdom	Bio-medicine business	Joint venture	-	-	3,813,591	50.00%
SVIC No.54 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	Associate	40,260,000	33.00%	27,885,000	33.00%
SVIC No.64 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	Associate	178,200	24.75%	-	0.00%
				<u>₩ 3,317,532,174</u>		<u>₩3,308,792,565</u>	

¹ In September 2023, the liquidation of Archigen Biotech Limited, a joint venture of the Company and AstraZeneca, was completed and was excluded from the joint ventures.

Changes in investments in subsidiary, associate and joint venture for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023			
	Beginning balance	Acquisition	Disposal	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000	₩ -	₩ -	₩ 11,914,000
Samsung Bioepis Co., Ltd.	3,265,179,974	-	-	3,265,179,974
Archigen Biotech Limited ¹	3,813,591	-	(3,813,591)	-
SVIC No.54 New Technology Business Investment L.L.P.	27,885,000	12,375,000	-	40,260,000
SVIC No.64 New Technology Business Investment L.L.P.	-	178,200	-	178,200
	<u>₩ 3,308,792,565</u>	<u>₩ 12,553,200</u>	<u>₩ (3,813,591)</u>	<u>₩ 3,317,532,174</u>

¹ Liquidation was completed during the year ended December 31, 2023, and investments were removed.

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(in thousands of Korean won)

	2022			
	Beginning balance	Acquisition	Reversal of impairment¹	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000	₩ -	₩ -	₩ 11,914,000
Samsung Bioepis Co., Ltd. ²	517,100,157	2,748,079,817	-	3,265,179,974
Archigen Biotech Limited	-	-	3,813,591	3,813,591
SVIC No.54 New Technology Business Investment L.L.P.	12,375,000	15,510,000	-	27,885,000
	<u>₩ 541,389,157</u>	<u>₩ 2,763,589,817</u>	<u>₩ 3,813,591</u>	<u>₩ 3,308,792,565</u>

¹ The difference between the recoverable amount of investments and their carrying amount was recognized as reversal of impairment loss during the year ended December 31, 2022.

² On April 20, 2022, the Company acquired 10,341,852 shares of Samsung Bioepis Co., Ltd. and reclassified from an joint venture to a subsidiary by holding 100% of the shares. The acquisition amount was changed due to the cost related to the acquisition of ownerships in Samsung Bioepis Co., Ltd during the year ended December 31, 2022.

14. Property, Plant and Equipment

Property, plant and equipment as at December 31, 2023 and 2022, consist of:

(in thousands of Korean won)

	2023		
	Acquisition cost	Accumulated depreciation	Book amount
Land	₩ 8,028,382	₩ -	₩ 8,028,382
Buildings	1,763,469,328	(166,052,891)	1,597,416,437
Structures	11,890,454	(2,220,821)	9,669,633
Machinery	2,481,905,554	(807,604,211)	1,674,301,343
Vehicles	1,368,911	(1,183,675)	185,236
Others	117,339,261	(56,320,869)	61,018,392
Construction-in-progress	192,257,667	-	192,257,667
	<u>₩ 4,576,259,557</u>	<u>₩ (1,033,382,467)</u>	<u>₩ 3,542,877,090</u>

(in thousands of Korean won)

	2022		
	Acquisition cost	Accumulated depreciation	Book amount
Land	₩ 8,028,382	₩ -	₩ 8,028,382
Buildings	1,197,142,670	(125,995,988)	1,071,146,682
Structures	10,980,454	(1,950,743)	9,029,711
Machinery	1,782,530,735	(631,519,841)	1,151,010,894
Vehicles	1,371,111	(1,087,754)	283,357
Others	75,301,169	(47,733,146)	27,568,023
Construction-in-progress	816,478,388	-	816,478,388
	<u>₩ 3,891,832,909</u>	<u>₩ (808,287,472)</u>	<u>₩ 3,083,545,437</u>

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Changes in property, plant and equipment for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Land	₩ 8,028,382	₩ -	₩ -	₩ -	₩ -	₩ 8,028,382
Buildings	1,071,146,682	18,921,718	(631,403)	(40,208,177)	548,187,618	1,597,416,438
Structures	9,029,711	-	-	(270,079)	910,000	9,669,632
Machinery	1,151,010,894	1,370,274	(2,680,155)	(182,582,596)	707,182,926	1,674,301,343
Vehicles	283,357	-	(321)	(97,800)	-	185,236
Others	27,568,023	7,748,788	(325,956)	(12,578,888)	38,606,425	61,018,392
Construction-in-progress	816,478,388	672,876,191	(4,205,149)	-	(1,292,891,763)	192,257,667
	<u>₩ 3,083,545,437</u>	<u>₩ 700,916,971</u>	<u>₩ (7,842,984)</u>	<u>₩ (235,737,540)</u>	<u>₩ 1,995,206</u>	<u>₩ 3,542,877,090</u>

(in thousands of Korean won)	2022					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Land	₩ -	₩ 185,978	₩ -	₩ -	₩ 7,842,404	₩ 8,028,382
Buildings	719,023,013	28,188,620	-	(23,480,757)	347,415,806	1,071,146,682
Structures	9,297,426	627,000	-	(267,715)	(627,000)	9,029,711
Machinery	872,818,728	38,379,136	(1,869,184)	(130,516,100)	372,198,314	1,151,010,894
Vehicles	162,987	548	-	(74,889)	194,711	283,357
Others	18,317,758	4,521,583	(8)	(9,101,516)	13,830,206	27,568,023
Construction-in-progress	583,352,269	976,068,888	(54,932)	-	(742,887,837)	816,478,388
	<u>₩ 2,202,972,181</u>	<u>₩ 1,047,971,753</u>	<u>₩ (1,924,124)</u>	<u>₩ (163,440,977)</u>	<u>₩ (2,033,396)</u>	<u>₩ 3,083,545,437</u>

Classification of depreciation for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023	2022
Cost of revenue	₩ 224,123,784	₩ 157,200,417
Selling, general and administrative expenses	<u>11,613,756</u>	<u>6,240,560</u>
	<u>₩ 235,737,540</u>	<u>₩ 163,440,977</u>

During the year ended December 31, 2023, the Company has capitalized borrowing costs amounting to ₩ 14,705,391 thousand (2022: ₩ 18,931,698 thousand) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of general-purpose borrowing costs eligible for capitalization is 3.26%~3.56%. (2022: 2.75%).

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15. Intangible Assets

Intangible assets as at December 31, 2023 and 2022, consist of:

<i>(in thousands of Korean won)</i>	2023			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 85,413,298	₩ (49,450,928)	₩ -	₩ 35,962,370
Others	3,726,596	(3,088,207)	-	638,389
Memberships	10,768,097	(521,756)	-	10,246,341
Trademarks	133,339	(19,242)	-	114,097
Patent rights	8,983	(836)	-	8,147
Land use rights	69,525,088	(17,613,022)	(51,912,066)	-
Construction-in-progress	7,171,187	(360,000)	-	6,811,187
	<u>₩ 176,746,588</u>	<u>₩ (71,053,991)</u>	<u>₩ (51,912,066)</u>	<u>₩ 53,780,531</u>

<i>(in thousands of Korean won)</i>	2022			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 61,022,974	₩ (40,630,933)	₩ -	₩ 20,392,041
Others	3,717,138	(2,537,394)	-	1,179,744
Memberships	10,540,263	(521,756)	-	10,018,507
Trademarks	69,250	(9,070)	-	60,180
Patent rights	-	-	-	-
Land use rights	69,525,088	(16,222,521)	(53,302,567)	-
Construction-in-progress	7,786,150	-	-	7,786,150
	<u>₩ 152,660,863</u>	<u>₩ (59,921,674)</u>	<u>₩ (53,302,567)</u>	<u>₩ 39,436,622</u>

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Changes in intangible assets for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2022						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 20,392,041	₩ 356,800	₩ (5,076)	₩ (8,814,919)	₩ -	₩ 24,033,524	₩ 35,962,370
Others	1,179,744	560,125	(1)	(550,812)	-	(550,667)	638,389
Memberships	10,018,507	-	-	-	-	227,834	10,246,341
Trademarks	60,180	-	-	(10,172)	-	64,089	114,097
Patent rights	-	-	-	(836)	-	8,983	8,147
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	7,786,150	25,164,006	(360,000)	-	-	(25,778,969)	6,811,187
	<u>₩ 39,436,622</u>	<u>₩ 26,080,931</u>	<u>₩ (365,077)</u>	<u>₩ (10,767,241)</u>	<u>₩ 1,390,502</u>	<u>₩ (1,995,206)</u>	<u>₩ 53,780,531</u>

(in thousands of Korean won)	2022						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 17,895,024	₩ 253,170	₩ (160,825)	₩ (6,934,922)	₩ -	₩ 9,339,594	₩ 20,392,041
Others	1,729,234	-	(2)	(549,488)	-	-	1,179,744
Memberships	10,018,507	-	-	-	-	-	10,018,507
Trademarks	36,760	200	-	(6,682)	-	29,902	60,180
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	2,472,651	13,212,849	(563,251)	-	-	(7,336,099)	7,786,150
	<u>₩ 32,152,176</u>	<u>₩ 13,466,219</u>	<u>₩ (724,078)</u>	<u>₩ (8,881,594)</u>	<u>₩ 1,390,502</u>	<u>₩ 2,033,397</u>	<u>₩ 39,436,622</u>

Classification of amortization for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023	2022
Cost of revenue	₩ 1,829,664	₩ 1,612,900
Selling, general and administrative expenses	<u>7,547,077</u>	<u>5,878,193</u>
	<u>₩ 9,376,741</u>	<u>₩ 7,491,093</u>

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Total research and development costs recognized as expense for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023		2022	
	Cost of revenue	Selling, general and administrative expenses	Cost of revenue	Selling, general and administrative expenses
Ordinary research expense	₩ -	₩ 21,258,899	₩ -	₩ 9,060,184

16. Debenture and Borrowings

Debentures and borrowings as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023		2022	
	Current	Non-current	Current	Non-current
Debentures	₩ 379,723,014	₩ 119,782,550	₩ 39,978,721	₩ 499,052,332
Short-term borrowings	220,000,000	-	50,000,000	-
Long-term borrowings	208,682,000	-	428,019,000	246,038,000
	<u>₩ 808,405,014</u>	<u>₩ 119,782,550</u>	<u>₩ 517,997,721</u>	<u>₩ 745,090,332</u>

Details of debentures as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Issuance date	Maturity date	Interest rate (%)	2023	2022
The 6-2nd private placement debenture(non-guaranteed)	2018-04-27	2023-04-27	-	₩ -	₩ 40,000,000
The 7-1st public offering of debenture(non-guaranteed)	2021-09-03	2024-09-03	1.89	380,000,000	380,000,000
The 7-2nd public offering of debenture(non-guaranteed)	2021-09-03	2026-09-03	2.19	120,000,000	120,000,000
Discount on debentures				<u>(494,436)</u>	<u>(968,947)</u>
				499,505,564	539,031,053
Current portion				<u>(379,723,014)</u>	<u>(39,978,721)</u>
				<u>₩ 119,782,550</u>	<u>₩ 499,052,332</u>

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Details of short-term borrowings as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2023	2022
Kookmin Bank and 2 others	4.80~4.82	₩ 220,000,000	₩ 50,000,000

Details of long-term borrowings as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2023	2022
Long-term borrowings in Korean won			
Hana Bank and 3 others	1.55~4.96	₩ 170,000,000	₩ 560,000,00
Current portion		<u>(170,000,000)</u>	<u>(390,000,000)</u>
		<u>-</u>	<u>170,000,000</u>
Long-term borrowings in foreign currency			
Woori Bank	6.53	38,682,000	114,057,000
Current portion		<u>(38,682,000)</u>	<u>(38,019,000)</u>
		<u>-</u>	<u>76,038,000</u>
		<u>₩ -</u>	<u>₩ 246,038,000</u>

The repayment schedule of debentures and borrowings as at December 31, 2023, are as follows:

<i>(in thousands of Korean won)</i>	Debentures	Short-term borrowings	Long-term borrowings	Total
2024.01.01 ~ 2024.12.31	₩ 380,000,000	₩ 220,000,000	₩ 208,682,000	₩ 808,682,000
2025.01.01 ~ 2025.12.31	-	-	-	-
2026.01.01 ~ 2026.12.31	<u>120,000,000</u>	<u>-</u>	<u>-</u>	<u>120,000,000</u>
	<u>₩ 500,000,000</u>	<u>₩ 220,000,000</u>	<u>₩ 208,682,000</u>	<u>₩ 928,682,000</u>

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17. Trade and Other Payables

Details of trade and other payables as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Trade payables	₩ 171,427,232	₩ -	₩ 48,781,340	₩ -
Other payables	679,504,428	-	1,439,836,429	531,505,495
Accrued expenses	177,756,406	11,661,214	140,116,362	11,148,229
Total ¹	₩ 1,028,688,066	₩ 11,661,214	₩ 1,628,734,131	₩ 542,653,724

¹ Trade and other payables to related parties as at December 31, 2023 and 2022, are ₩ 46,323,994 thousand and ₩ 169,926,541 thousand, respectively (Note 31).

18. Emission Liability

(a) Emissions rights

The Company has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission rights for the 3rd planning periods (2021 ~ 2025) granted free of charge is as follows:

<i>(in tCO2-eq)</i>	2021	2022¹	2023	2024	2025	Total
Allocation with nil consideration	123,815	157,435	122,393	121,247	121,247	646,137

¹In 2022, 35,042 units of emission rights of 2022 were additionally allocated for the Plant 4 site.

There are no emission rights provided as collateral as at December 31, 2023.

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Changes in emission permits quantities and the carrying amounts for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won, tCO ₂ -eq)	2023					
	2022		2023		2024~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/ Allocation with nil consideration	157,435	₩ -	122,393	₩ -	242,494	₩ -
Purchase / Disposal	6,558	83,165	-	-	-	-
Borrowing / Carrying forward	-	-	-	-	-	-
Surrendered to the government	(163,993)	(83,165)	-	-	-	-
At December 31 ¹	-	₩ -	122,393	₩ -	242,494	₩ -

¹ The quantities of emission permits at the end of 2023 will be submitted to the government after certification in 2024.

(in thousands of Korean won, tCO ₂ -eq)	2022					
	2021		2022		2023~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/ Allocation with nil consideration	123,815	₩ -	122,393	₩ -	364,887	₩ -
Purchase / Disposal	7,052	126,231	-	-	-	-
Borrowing / Carrying forward	-	-	-	-	-	-
Surrendered to the government	(130,867)	(126,231)	-	-	-	-
At December 31	-	₩ -	122,393	₩ -	364,887	₩ -

(b) Emission liability

Changes in emission liability for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 538,848	₩ 863,719	₩ (538,848)	₩ 863,719

(in thousands of Korean won)	2022			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 725,693	₩ 538,848	₩ (725,693)	₩ 538,848

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The Company estimated that it emitted 253,149 tons of carbon dioxide during the year ended December 31, 2023.

19. Leases

The amounts relating to leases recognized as at December 31, 2023 and 2022 on the statement of financial position, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Right-of-use assets¹		
Land	₩ 439,712,797	₩ 431,374,528
Buildings	18,589,095	19,848,630
Machinery	19,328	91,700
Vehicles	356,280	478,072
	<u>₩ 458,677,500</u>	<u>₩ 451,792,930</u>
Lease liabilities		
Current	₩ 142,466,812	₩ 140,991,867
Non-current	135,737,149	266,232,583
	<u>₩ 278,203,961</u>	<u>₩ 407,224,450</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2023 and 2022, were ₩ 16,666,682 thousand and ₩ 443,769,233 thousand, respectively.

The amounts relating to leases recognized for the years ended December 31, 2023 and 2022, on the statement of comprehensive income, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Statement of comprehensive income:		
Depreciation of right-of-use assets		
Land	₩ 653,010	₩ 2,672,657
Buildings	8,081,239	6,440,721
Machinery	67,146	103,202
Vehicle	980,716	643,538
	<u>9,782,111</u>	<u>9,860,118</u>
Interest expenses	7,830,243	2,619,492
Expense relating to variable lease payments not included in lease liabilities	3,235,932	2,862,470
Expense relating to leases of low-value assets	1,152,603	1,050,688
	<u>₩ 22,000,889</u>	<u>₩ 16,392,768</u>

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Classification of depreciation of right-of-use assets for the years ended December 31, 2023 and 2022, is as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Cost of revenue	₩	7,216,415	₩	5,872,391
Selling, general and administrative expenses		<u>2,565,696</u>		<u>3,987,727</u>
	₩	<u>9,782,111</u>	₩	<u>9,860,118</u>

The total cash outflows from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2023 and 2022, were ₩ 160,937,389 thousand and ₩ 59,877,037 thousand, respectively.

20. Other Liabilities

Details of other liabilities as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 724,023,696	₩ 66,789,593	₩ 444,158,544	₩ 76,371,351
Withholdings	<u>8,031,701</u>	<u>-</u>	<u>6,731,285</u>	<u>-</u>
	<u>₩ 732,055,397</u>	<u>₩ 66,789,593</u>	<u>₩ 450,889,829</u>	<u>₩ 76,371,351</u>

21. Employee Benefit

Recognized assets and liabilities for employee benefits as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Net defined benefit liabilities (asset)	Present value of defined benefit obligations			
	₩	130,596,994	₩	103,544,438
	Fair value of plan assets			
		<u>(151,184,953)</u>		<u>(132,169,917)</u>
		<u>(20,587,959)</u>		<u>(28,625,479)</u>
Trade and other payables	Accrued expenses and others ¹			
		139,897,668		117,115,757
	Long-term accrued expenses ¹			
		<u>11,661,214</u>		<u>9,604,234</u>
		<u>151,558,882</u>		<u>126,719,991</u>
	₩	<u>130,970,923</u>	₩	<u>98,094,512</u>

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¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

Changes in net defined benefit liabilities (assets) for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2023	2022	2023	2022	2023	2022
Beginning balance	₩103,544,438	₩ 98,068,727	₩ (132,169,917)	₩ (101,641,107)	₩ (28,625,479)	₩ (3,572,380)
Included in profit or loss:						
- Current service cost	25,284,633	25,183,401	-	-	25,284,633	25,183,401
- Interest expense (income)	6,152,114	3,702,414	(7,999,262)	(3,874,624)	(1,847,148)	(172,210)
	<u>31,436,747</u>	<u>28,885,815</u>	<u>(7,999,262)</u>	<u>(3,874,624)</u>	<u>23,437,485</u>	<u>25,011,191</u>
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain) arising from						
Demographic assumptions	2,979,033	(10,178,092)	-	-	2,979,033	(10,178,092)
Financial assumptions	1,746,305	-	-	-	1,746,305	-
Experience adjustment	3,953,987	(21,163,595)	-	-	3,953,987	(21,163,595)
	(2,721,259)	10,985,503	-	-	(2,721,259)	10,985,503
- Loss on plan assets excluding interest income	-	-	2,194,654	2,388,583	2,194,654	2,388,583
	<u>2,979,033</u>	<u>(10,178,092)</u>	<u>2,194,654</u>	<u>2,388,583</u>	<u>5,173,687</u>	<u>(7,789,509)</u>
Others:						
- Contributions to plan assets	-	-	(18,728,825)	(40,143,887)	(18,728,825)	(40,143,887)
- Benefit payments	(8,045,319)	(13,209,514)	6,200,492	10,904,770	(1,844,827)	(2,304,744)
- Transfer from/to affiliated companies	1,263,497	373,384	(1,263,497)	(199,534)	-	173,850
- Other payments	(581,402)	(395,882)	581,402	395,882	-	-
	<u>(7,363,224)</u>	<u>(13,232,012)</u>	<u>(13,210,428)</u>	<u>(29,042,769)</u>	<u>(20,573,652)</u>	<u>(42,274,781)</u>
Ending balance	<u>₩130,596,994</u>	<u>₩ 103,544,438</u>	<u>₩ (151,184,953)</u>	<u>₩ (132,169,917)</u>	<u>₩ (20,587,959)</u>	<u>₩ (28,625,479)</u>

Details of plan assets as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Cash and cash equivalents	₩ 151,184,953	₩ 132,169,917

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The expenses recognized as profit or loss related to defined benefit obligation for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Cost of revenue	₩	17,647,413	₩	18,460,897
Selling, general and administrative expenses		5,031,700		5,076,029
Construction-in-progress		758,371		1,474,265
	₩	<u>23,437,484</u>	₩	<u>25,011,191</u>

The expense recognized for the year ended December 31, 2023 in relation to defined contribution plan was ₩ 53 million (2022: ₩ 27 million).

The significant actuarial assumptions as at December 31, 2023 and 2022, are as follows:

<i>(in percentage, %)</i>	2023		2022	
Discount rate	5.40	%	6.28	%
Future salary increases	4.53	%	5.00	%

As at December 31, 2023 and 2022, the weighted average duration of the defined benefit obligation is 7.98 years and 8.08 years, respectively.

As at December 31, 2023, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in thousands of Korean won)</i>	Salary increases		Discount rate	
	1% Up	1% Down	1% Up	1% Down
Present value of defined benefit obligations	₩ 10,915,661	₩ (9,689,134)	₩ (9,267,032)	₩ 10,591,990

A reasonable estimate of the user contribution expected to be paid in the next year in relation to the defined benefit plan is KRW 27,057 million.

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22. Share Capital and Reserves

Details of share capital as at December 31, 2023 and 2022, are summarized as follows:

<i>(in Korean won, in shares)</i>	2023	2022
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	71,174,000	71,174,000
Share capital	₩ 177,935,000,000	₩ 177,935,000,000

Change in the number of shares issued and outstanding shares for the years ended December 31, 2023 and 2022, are as follows:

<i>(in shares)</i>	2023		2022	
	Number of shares issued	Number of outstanding shares	Number of shares issued	Number of outstanding shares
Beginning balance	71,174,000	71,174,000	66,165,000	66,165,000
Capital increase	-	-	5,009,000	5,009,000
Ending balance	<u>71,174,000</u>	<u>71,174,000</u>	<u>71,174,000</u>	<u>71,174,000</u>

Details of share premium as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Additional paid-in capital	₩ 6,523,003,969	₩ 6,523,003,969
Other share premium	<u>(850,578,848)</u>	<u>(850,578,848)</u>
	<u>₩ 5,672,425,121</u>	<u>₩ 5,672,425,121</u>

Details of accumulated other comprehensive loss as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Remeasurements of net defined benefit liabilities	₩ (10,615,841)	₩ (6,726,079)

The appropriation of retained earnings for the year ended December 31, 2023, is expected to be appropriated at the shareholders' meeting on March 15, 2024. The appropriation date for the year ended December 31, 2022, was March 17, 2023.

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The appropriation of retained earnings for the years ended December 31, 2023 and 2022, are as follows:

<i>(in Korean won)</i>	2023	2022
Unappropriated retained earnings carried over from prior year	₩ 1,452,969,176,271	₩ 766,176,239,754
Profit for the year	<u>945,920,325,918</u>	<u>686,792,936,517</u>
Retained earnings available for appropriation	<u>2,398,889,502,189</u>	<u>1,452,969,176,271</u>
Appropriation of retained earnings	<u>-</u>	<u>-</u>
Unappropriated retained earnings to be carried forward	<u>₩ 2,398,889,502,189</u>	<u>₩ 1,452,969,176,271</u>

23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Revenue:		
Product sales	₩ 2,655,381,695	₩ 2,258,899,797
Other sales	<u>283,373,986</u>	<u>178,386,315</u>
	<u>₩ 2,938,755,681</u>	<u>₩ 2,437,286,112</u>
Cost of revenue:		
Cost of product sales	₩ 1,164,920,825	₩ 1,020,892,132
Cost of other sales ¹	<u>283,463,795</u>	<u>216,161,900</u>
	<u>₩ 1,448,384,620</u>	<u>₩ 1,237,054,032</u>

¹ Cost of other sales includes loss on abnormal capacity and (reversal of) loss on valuation of inventories.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Salaries	₩ 43,892,293	₩ 35,504,369
Bonuses	31,398,897	28,445,127
Retirement benefits	4,744,903	4,824,100
Employee welfare	18,720,605	16,066,520
Depreciation	9,133,357	5,455,848
Amortization of intangible assets	7,537,407	5,873,452
Repairs and maintenance	4,529,218	5,591,598
Supplies expenses	5,073,896	5,135,190
Utility expenses	1,013,778	354,268
Service fees	69,431,400	47,334,450
Training expenses	7,808,927	10,793,559
Electronic processing expenses	7,634,585	7,207,847
Taxes and dues	4,343,737	2,379,429
Insurance premium	7,849,386	5,818,563
Advertising expenses	7,414,259	6,138,202
Bad debt expenses	21,510,607	22,406,813
Research and development expenses	21,258,899	9,060,184
Others	12,886,914	13,791,967
	<u>₩ 286,183,068</u>	<u>₩ 232,181,486</u>

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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Changes in work-in-process and finished goods	₩ (223,633,404)	₩ (65,301,374)
Changes in costs to fulfill a contract	(57,350,717)	(32,533,390)
Raw materials and supplies used	651,946,599	480,195,709
Employee benefits	551,637,692	464,648,557
Depreciation and amortization	245,114,280	170,932,069
Supplies expenses	111,556,813	107,037,915
Utility expenses	78,033,549	50,856,662
Service fees	133,556,359	91,340,292
Others	243,706,517	202,059,078
Total cost of sales, and selling, general and administrative expenses	₩ <u>1,734,567,688</u>	₩ <u>1,469,235,518</u>

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26. Other Income and Expenses

Details of other income for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Rental revenues	₩ 301,365	₩ 166,633
Fee revenues	349,042	334,049
Gain on disposal of property, plant and equipment	92,683	-
Gain on disposal of investments	368,218	-
Reversal of impairment loss on investments	-	3,813,591
Gain on lease cancellation	4,660	686,968
Miscellaneous gains	1,337,293	222,267
	<u>₩ 2,453,261</u>	<u>₩ 5,223,508</u>

Details of other expenses for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Donations	₩ 2,275,795	₩ 2,366,800
Loss on disposal of property, plant and equipment	823,494	383,896
Loss on disposal of intangible assets	-	2
Loss on retirement of property, plant and equipment	2,764,395	1,528,178
Loss on retirement of intangible assets	365,077	724,076
Miscellaneous losses	1,087,422	1,570,758
	<u>₩ 7,316,183</u>	<u>₩ 6,573,710</u>

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27. Finance Income and Costs

Details of finance income for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Interest income	₩ 90,298,932	₩ 51,311,431
Gain on valuation of financial assets at fair value through profit or loss	-	35,933
Gain on disposal of financial assets at fair value through profit or loss	-	7,293,768
Gain on valuation of derivatives	1,962,775	7,670,099
Gain on foreign currency translations	8,646,448	5,258,126
Gain on foreign currency transactions	73,590,527	61,575,423
	<u>₩ 174,498,682</u>	<u>₩ 133,144,780</u>

Details of finance costs for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Interest expenses	₩ 55,814,144	₩ 48,401,425
Loss on valuation of derivatives	1,909,712	2,192,006
Loss on transactions of derivatives	1,415,191	-
Loss on foreign currency translations	15,405,624	95,802,571
Loss on foreign currency transactions	75,095,669	30,562,164
	<u>₩ 149,640,340</u>	<u>₩ 176,958,166</u>

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28. Income Tax Expense

Income tax expense for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Current income tax expense:		
Current income tax	₩ 256,265,841	₩ 247,637,343
Adjustments	66,939	3,448,872
Deferred tax expense:		
Temporary differences	20,646,381	(13,420,336)
Income taxes recognized directly in equity	1,283,926	(1,571,808)
Income tax expense	<u>₩ 278,263,087</u>	<u>₩ 236,094,071</u>

The relationship between tax expense and accounting profit for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Profit before income tax	₩ 1,224,183,413	₩ 922,887,007
Income taxes at statutory tax rate	312,822,421	243,431,927
Adjustments:		
Non-deductible expense	(145,015)	571,832
Changes in unrecognized deferred tax assets	-	-
Tax credit	(33,638,338)	(14,620,876)
Effect of change in average tax rate	(308,112)	993,617
Others	(757,899)	5,717,571
Income tax expense	<u>₩ 278,263,087</u>	<u>₩ 236,094,071</u>
Average effective tax rate	22.73%	25.58%

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			2022		
	Before tax	Tax expense	Net of tax	Before tax	Tax expense	Net of tax
Net defined benefit plan remeasurements	₩ (5,173,687)	₩ 1,283,926	₩ (3,889,761)	₩ 7,789,509	₩ (1,571,808)	₩ 6,217,701

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Changes in deferred tax assets (liabilities) for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023					
	January 1, 2023		Profit or loss		Other comprehensive income	December 31, 2023
						Net Deferred tax assets Deferred tax liabilities
Accrued expenses	₩	13,759,027	₩	1,604,812	₩	-
Net defined benefit obligations		(7,356,748)		761,128		1,283,926
Loss (gain) on foreign currency translations		23,712,220		(18,303,050)		-
Provision for loss on valuation of finished goods		371,408		1,132,786		-
Provision for loss on valuation of work-in-progress		4,648,661		(2,284,043)		-
Provision for retirement of inventories		2,897,160		1,103,709		-
Bad debt expenses		5,527,331		5,098,453		-
Depreciation		(4,197,997)		(2,583,826)		-
Provision for performance bonus		24,535,573		5,494,655		-
Gain from assets contributed		740,176		2,880		-
Accrued income		(4,169,727)		243,029		-
Emission liability		138,484		84,356		-
Contract assets		(78,215,277)		(9,284,713)		-
Contract liabilities		74,448,284		16,851,143		-
Lease liabilities / Right-of-use assets		(11,157,578)		11,295,677		-
Intangible assets		221,843		18,713		-
Gain (loss) on valuation of derivatives		(3,022,852)		1,858,587		-
Impairment loss on investments in equity method applied investments in associate and joint venture		35,136,374		(35,136,374)		-
Valuation option of derivatives		563,346		494,897		-
Donations		7,145		(7,145)		-
Property, Plant and Equipment		534,071		(375,982)		-
Tax credit carryforward		3,149,240		-		-
	₩	82,270,164	₩	(21,930,308)	₩	1,283,926
					₩	61,623,782
					₩	166,308,252
					₩	(104,684,470)

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(in thousands of Korean won)	2022											
						December 31, 2022						
						January 1, 2022	Profit or loss	Other comprehensive income	Net	Deferred tax assets	Deferred tax liabilities	
Accrued expenses	₩	10,691,553	₩	3,067,474	₩	-	₩	13,759,027	₩	13,759,027	₩	-
Net defined benefit obligations		(932,391)		(4,852,549)		(1,571,808)		(7,356,748)		-		(7,356,748)
Loss (gain) on foreign currency translations		(226,484)		23,938,704		-		23,712,220		23,712,220		-
Provision for loss on valuation of finished goods		53,410		317,998		-		371,408		371,408		-
Provision for loss on valuation of work-in-progress		479,917		4,168,744		-		4,648,661		4,648,661		-
Provision for retirement of inventories		1,582,689		1,314,471		-		2,897,160		2,897,160		-
Bad debt expenses		290,231		5,237,100		-		5,527,331		5,527,331		-
Depreciation		(1,764,092)		(2,433,905)		-		(4,197,997)		-		(4,197,997)
Provision for performance bonus		10,380,423		14,155,150		-		24,535,573		24,535,573		-
Gain from assets contributed		751,696		(11,520)		-		740,176		740,176		-
Accrued income		(291,841)		(3,877,886)		-		(4,169,727)		-		(4,169,727)
Emission liability		189,405		(50,921)		-		138,484		138,484		-
Contract assets		(66,096,147)		(12,119,130)		-		(78,215,277)		-		(78,215,277)
Contract liabilities		74,547,297		(99,013)		-		74,448,284		74,448,284		-
Lease liabilities / Right-of-use assets		(529,409)		(10,628,169)		-		(11,157,578)		-		(11,157,578)
Intangible assets		96,663		125,180		-		221,843		221,843		-
Gain (loss) on valuation of derivatives		(1,068,004)		(1,954,848)		-		(3,022,852)		-		(3,022,852)
Impairment loss on investments in equity method applied investments in associate and joint venture		36,678,591		(1,542,217)		-		35,136,374		35,136,374		-
Valuation option of derivatives		-		563,346		-		563,346		563,346		-
Donations		-		7,145		-		7,145		7,145		-
Property, Plant and Equipment		-		534,071		-		534,071		534,071		-
Tax credit carryforward		4,016,321		(867,081)		-		3,149,240		3,149,240		-
	₩	68,849,828	₩	14,992,144	₩	(1,571,808)	₩	82,270,164	₩	190,390,343	₩	(108,120,179)

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The analysis of deferred tax assets and liabilities as at December 31, 2023 and 2022, is as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 166,308,252	₩ 190,390,343
Deferred tax asset to be recovered within 12 months	80,385,500	65,799,572
	<u>85,922,752</u>	<u>124,590,771</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(104,684,470)	(108,120,179)
Deferred tax liability to be recovered within 12 months	(82,392,510)	(76,300,918)
	<u>(22,291,960)</u>	<u>(31,819,261)</u>
Deferred tax assets, net	<u>₩ 61,623,782</u>	<u>₩ 82,270,164</u>

As at December 31, 2023 and 2022, there are no deferred tax assets not recognized by the Company with respect to investments in associate and joint venture.

Realization of the future tax benefits related to the deferred tax assets is dependent on various factors, including the Company's ability to generate taxable income within the period during which the temporary differences reverse, the outlook of the Korean economic environment, and the overall future industry outlook. Management periodically considers these factors in reaching its conclusion and recognizes deferred income tax assets based on the possibility of future realization.

Impact of Pillar Two income taxes

Under the Pillar Two legislation, the Company is liable to pay a top-up tax for the difference between their GloBE effective tax rate per jurisdiction and the 15% minimum rate.

The Company is in the process of assessing its exposure to the Pillar Two legislation for when it comes into effect. Although the average effective tax rate is below 15%, the Company might not be exposed to paying Pillar Two income taxes. In addition, even for the Company with an accounting effective tax rate above 15%, there may still be Pillar Two tax implications.

Due to the complexities in applying the legislation, the impact of the legislation is not yet reasonably estimable. The Company is currently engaged with tax specialists to assist them with applying the legislation.

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29. Earnings per Share

(a) Basic earnings per share

Basic earnings per share for the years ended December 31, 2023 and 2022, is calculated as follows:

<i>(in Korean won and in shares)</i>	2023	2022
Profit for the year	₩ 945,920,325,918	₩ 686,792,936,517
Weighted-average number of ordinary shares outstanding ¹	71,174,000	69,746,778
Basic earnings per share	₩ 13,290	₩ 9,847

¹ The Company issued an additional 5,009,000 shares on April 15, 2022.

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for the years ended December 31, 2023 and 2022, are as follows.

<i>(in share)</i>	2023	2022
Beginning number of ordinary shares issued	71,174,000	66,165,000
Capital increase	-	3,581,778
Weighted-average number of ordinary shares outstanding	71,174,000	69,746,778

(c) Diluted earnings per share

Diluted earnings per share is calculated by adjusting the weighted-average number of outstanding ordinary shares assuming conversion of all dilutive potential ordinary shares. The Company had stock warrants as dilutive potential ordinary shares in 2022. For the stock warrants, dilutive potential ordinary shares are calculated by the number of shares that would have been issued assuming the stock warrants are exercised less the number of shares that could have been acquired at fair value.

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Diluted earnings per share for the years ended December 31, 2023 and 2022, is as follows:

<i>(in Korean won, in share)</i>	2023	2022
Profit used to determine diluted earnings per share	₩ 945,920,325,918	₩ 686,792,936,517
Weighted-average number of ordinary shares for diluted earnings per share ¹	71,174,000	69,809,673
Diluted earnings per share	₩ 13,290	₩ 9,838

¹Weighted-average number of ordinary shares for the years ended December 31, 2023 and 2022, are as follows:

<i>(in share)</i>	2023	2022
Weighted-average number of ordinary shares outstanding	71,174,000	66,165,000
Capital increase	-	3,581,778
Potential ordinary shares related to stock warrants	-	62,895
Weighted-average number of ordinary shares for diluted earnings per share	71,174,000	69,809,673

30. Commitments and Contingencies

As at December 31, 2023, details of the Company's borrowings commitment with financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000	KRW	-
	B2B PLUS	KRW	5,760,000	KRW	5,274,583
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment in foreign currency	USD	30,000	USD	30,000
Hana Bank	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	100,000,000	KRW	30,000,000
	Comprehensive limit	KRW	40,000,000	KRW	-
Shinhan Bank	General loan	KRW	17,000,000	KRW	-
	Bank overdraft	KRW	10,000,000	KRW	-

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Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
	Loans for equipment	KRW	100,000,000	KRW	10,000,000
Kookmin Bank	Loans for equipment	KRW	100,000,000	KRW	50,000,000
Nonghyup Bank	Loans for equipment	KRW	100,000,000	KRW	20,000,000
Export-Import Bank of Korea	Loans for export growth	KRW	110,000,000	KRW	110,000,000
Sumitomo Mitsui Bank	General loan	KRW	30,000,000	KRW	-
Australia and New Zealand Banking Group Limited	Loans for equipment	KRW	120,000,000	KRW	-
Credit Agricole Bank	Loans for equipment	KRW	100,000,000	KRW	-

As at December 31, 2023, details of guarantees provided by financial institutions are summarized as follows:

(in thousands of Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantees	KRW	39,500,000	KRW	2,394,134
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000	KRW	-

If the Company does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to long-term borrowings with financial institutions as at December 31, 2023, are as follows:

Financial institution	Remarks	Details of covenants
Sumitomo Mitsui Bank	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Company in excess of 30%.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Company is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Company recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

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(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Company can renew the contract for another 30 years in successive 10 year increments.

(ii) Exemption requirement

The company whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

As at December 31, 2023, there are a total of four pending lawsuits of stock transaction damages related to the Company's accounting and disclosure (Note 34) and the total amount of litigation is ₩ 9,296 million. There are three other lawsuits and the amount of litigation is ₩ 100 million.

Contractual obligation to purchase property, plant and equipment and intangible assets as at December 31, 2023 are ₩ 533,214 million, of which the amount committed to related parties including Samsung Engineering Co., Ltd. is ₩ 61,296 million.

In August 2021, the Company entered into an investment agreement with a limit of total ₩ 49,500 million for SVIC No.54 New Technology Business Investment L.L.P. until August 2024.

In November 2023, the Company entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

The Company entered into the land purchase agreement with Incheon Free Economic Zone(IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Company must carry out all procedures, such as facility construction plans and approval for use, within a certain period from the enforcement date of the purchase agreement. When the Company fails to fulfil the procedures, the purchase agreement may be cancelled.

The Company has provided deposits of ₩ 5,180 million to Korea Securities Finance Corporation as collateral for the loan for the acquisition of shares through employee stock ownership association (Note 7).

The Company entered into a stock purchase agreement after the resolution of the Board of Directors on January 28, 2022 to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc., and conditional consideration related with the agreement will be paid to Biogen Therapeutics Inc. After determining whether contractual requirements are met depending on the sales performance through the seller of the invested company after acquisition on an annual basis, whether the contingent consideration payment will be made or not and its amount will be determined in 2027 after the end of the relevant period. The range of the pre-discounted amount that the Company is likely to pay in the future under the above arrangement is USD 0 ~ 50,000,000.

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31. Related Parties

As at December 31, 2023, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Company is 43.06%.

Details of related parties as at December 31, 2023, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Subsidiaries	Samsung Biologics America, Inc., Samsung Bioepis Co., Ltd.
Associates and Joint ventures	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P., Aimed Bio Inc.
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung C&T Japan Corporation, Samsung Electronics Sales Co., Ltd., Samsung Electronics Service Co.,Ltd., Samsung Electronics America, Inc., Samoo Architects & Engineers
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung Engineering Co., Ltd. S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Cheil Germany GmbH, Samsung Securities Co.,Ltd, SBTM Corporation, SECUi Corp., SHP Corporation

¹ Although the entities are not the related party of the Company in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Company also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

Outstanding balances with related parties as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Parent Company						
Samsung C&T Corporation	₩	-	₩	-	₩	1,177,528
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.		-		-		14,856,842
Subsidiaries						
Samsung Biologics America, Inc.		-	83,710	-		1,553,085
Samsung Bioepis Co., Ltd.	22,252,988	3,114	33,780	-	38,472,241	43,274,570

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	2023					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Associate						
Aimed Bio Inc.	-	-	-	392,378	-	-
Others						
Samsung Welstory Inc.	-	1,204	-	1,860,882	-	-
Samsung Electronics America, Inc	-	-	-	92,669	-	-
The Enterprise Group						
Samsung Card Co., Ltd.	-	67,354	-	1,055,629	-	-
Samsung Engineering Co., Ltd.	-	-	-	1,314,862	-	-
S-1 Corporation	-	-	-	16,876,163	-	-
Samsung SDS Co., Ltd.	-	-	-	6,191,455	-	-
Samsung Global Research Co., Ltd.	-	-	-	111,618	-	-
Samsung Fire & Marine Insurance Co., Ltd.	-	-	-	3,134	-	-
Cheil Germany GmbH	-	-	-	14,749	-	-
Multicampus Corporation	-	-	-	123,088	-	-
SHP Corporation	-	-	-	66,662	-	-
Others ¹	-	-	-	1,025,628	-	-
	<u>₩ 22,252,988</u>	<u>₩ 155,382</u>	<u>₩ 33,780</u>	<u>₩ 46,716,372</u>	<u>₩ 38,472,241</u>	<u>₩ 43,274,570</u>

¹ Transactions with Cheil Worldwide Inc. and SBTM Corporation were included.

(in thousands of
Korean won)

	2022					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Parent Company						
Samsung C&T Corporation	₩ -	₩ -	₩ -	₩ 741,620	₩ -	₩ -
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.	-	-	-	11,127,327	-	-
Subsidiaries						
Samsung Biologics America, Inc.	-	45,274	-	487,529	-	-
Samsung Bioepis Co., Ltd.	54,732,235	89,030	19,082	-	39,875,596	46,695,101
Others						
Samsung Welstory Inc.	-	2,899	-	1,527,775	-	-
Samsung Electronics Sales Co., Ltd.	-	-	-	18,097	-	-
Samoo Architects & Engineers	-	-	-	518,100	-	-
Samsung C&T Deutschland GmbH	-	-	-	113,058	-	-

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	2022					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
The Enterprise Group						
Samsung Card Co., Ltd.	-	47,306	-	1,038,153	-	-
Samsung Engineering Co., Ltd.	-	-	-	140,936,113	-	-
S-1 Corporation	-	-	-	6,624,451	-	-
Samsung SDS Co., Ltd.	-	-	-	4,780,056	-	-
Samsung Global Research Co., Ltd.	-	-	-	257,457	-	-
Samsung Fire & Marine Insurance Co., Ltd.	-	150	-	2,961	-	-
SECUI Corp.	-	-	-	1,328,527	-	-
Others ¹	-	-	-	425,317	-	-
	<u>₩ 54,732,235</u>	<u>₩ 184,659</u>	<u>₩ 19,082</u>	<u>₩ 169,926,541</u>	<u>₩ 39,875,596</u>	<u>₩ 46,695,101</u>

¹ Transactions with Multicampus Corporation, SHP Corporation and SBTM Corporation were included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 3,491,000
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		12,657,919	15,600
Subsidiaries					
Samsung Biologics America, Inc.		-	483,199	12,863,975	-
Samsung Bioepis Co., Ltd.	264,464,556	-	-	-	122,236
Associate					
Aimed Bio Inc.		-	-	-	1,720,344
Others					
Samsung Welstory Inc.		-	29,096	-	16,647,260
Samsung Electronics Sales Co., Ltd.		-	9,125	-	84,477
Samoo Architects & Engineers		-	-	78,000	-
Samsung C&T Deutschland GmbH		-	-	-	645,268
Samsung C&T Japan Corporation		-	-	-	3,350,204
Samsung Electronics America, Inc.		-	-	-	381,584
The Enterprise Group					
Cheil Germany GmbH		-	-	476,665	-
Samsung Card Co., Ltd.		-	28,449	-	863,509
Samsung Engineering Co., Ltd.		-	-	-	10,000
S-1 Corporation		-	-	33,409,575	4,110,452
Samsung SDS Co., Ltd.		-	304,112	3,410,978	18,334,250
Samsung Global Research Co., Ltd.		-	-	3,456,370	1,694,203
Samsung Fire & Marine Insurance Co., Ltd. ¹		-	1,563,264	4,196	11,346,381
Samsung Life Insurance Co., Ltd. ¹		-	1,013,167	-	184,080
Samsung Securities Co., Ltd. ¹		-	1,596,551	37,572	-
Cheil Worldwide Inc.		-	-	28,940	1,751
SBTM Corporation		-	-	37,253	1,710
Others ²		-	-	94,949	1,724,119
	₩ 264,464,556	₩ 5,026,963	₩ 67,604,427	₩ 60,663,560	₩ 341,193,769

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As at December 31, 2023, the Company deposited ₩ 33,229 million (2022: ₩ 35,327 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 32,320 million (2022: ₩ 29,496 million) in Samsung Life Insurance Co., Ltd., and ₩ 35,152 million (2022: ₩ 31,693 million) in Samsung Securities Co., Ltd., as plan assets.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUI Corp. and SHP

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Corporation were included.

(in thousands of Korean won)

	2022					
	Revenue		Expenses		Asset acquisition	
	Revenue	Others	Service fees	Others		
Parent company						
Samsung C&T Corporation	₩	-	₩	-	₩ 704,690	₩ 163,636
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.		-		-	9,477,463	12,022
Subsidiaries						
Samsung Biologics America, Inc.		-	280,465		6,327,235	-
Samsung Bioepis Co., Ltd.	137,260,285		-		-	-
Others						
Samsung Welstory Inc.		-	26,001		-	14,927,109
Samsung Electronics Sales Co., Ltd.		-	3,600		-	123,032
Samsung Electronics Service Co., Ltd.		-	-		-	2,128
Samoo Architects & Engineers		-	-		154,810	-
Samsung C&T Deutschland GmbH		-	-		-	878,780
The Enterprise Group						
Samsung Card Co., Ltd.		-	23,994		-	571,775
Samsung Engineering Co., Ltd.		-	-		-	-
S-1 Corporation		-	-		21,588,346	3,060,709
Samsung SDS Co., Ltd.		-	3,979		549,707	16,266,014
Samsung Global Research Co., Ltd.		-	-		166,910	2,781,454
Samsung Fire & Marine Insurance Co., Ltd. ¹		-	786,113		3,865	8,447,112
Samsung Life Insurance Co., Ltd. ¹		-	422,426		-	98,362
Samsung Securities Co., Ltd. ¹		-	506,914		35,133	-
Cheil Worldwide Inc.		-	-		421,850	7,457
SBTM Corporation		-	-		5,531	174,156
Others ²		-	-		105,650	1,735,216
	₩ 137,260,285	₩ 2,053,492	₩ 39,541,190	₩ 49,248,962	₩ 558,971,694	

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUi Corp. and SHP Corporation were included.

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The compensation paid or payable to key management for employee services for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		2022
Short-term employee benefits	₩	4,434,094	₩	4,706,320
Long-term employee benefits		3,156,332		3,584,766
Retirement benefits		401,708		697,083
	₩	<u>7,992,134</u>	₩	<u>8,988,169</u>

Key management refers to the registered directors. Compensation of the Company's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Company has granted long-term incentives to the Company's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Companies	2023	2022	Description
Parent company	Samsung C&T Corporation	₩ -	₩1,216,808,721	Capital increase
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.	-	882,124,803	Capital increase
Associate and joint venture	SVIC No.54 New Technology Business Investment L.L.P.	12,375,000	15,510,000	Equity contribution in cash
	SVIC No.64 New Technology Business Investment L.L.P.	178,200	-	Equity contribution in cash
	Archigen Biotech Limited ¹	4,181,809	-	Liquidation
The Enterprise Group	Samsung Securities Co.,Ltd. ²	-	500,000	Capital increase
Directors	Tae Han Kim	-	812,808	Capital increase
	Dong Joong Kim	-	212,148	Capital increase

¹ In September 2023, the liquidation of Archigen Biotech Limited, a joint venture of the Company and AstraZeneca, was completed and was excluded from the joint ventures.

² Solicitation brokerage fee paid for the capital increase was recognized as a decrease in share premium.

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32. Statements of Cash Flows

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Increase in other payables due to business combination	₩ -	₩ 1,504,487,682
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	58,829,092	334,729,085
Transfer of construction-in-progress to property, plant and equipment and intangible assets	1,318,670,732	750,223,938
Increase in right-of-use assets and lease liabilities	26,832,215	447,754,763

Changes in liabilities arising from financial activities for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2023	₩ 39,978,721	₩ 499,052,332	₩ 50,000,000	₩ 428,019,000	₩ 246,038,000	₩407,224,450	₩1,670,312,503
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	220,000,000	-	-	-	220,000,000
Repayment of borrowing liabilities	-	-	(50,000,000)	(426,699,000)	(39,339,000)	-	(516,038,000)
Repayment of debentures	(40,000,000)	-	-	-	-	-	(40,000,000)
Payment of lease	-	-	-	-	-	(155,848,044)	(155,848,044)
Others:							
Reclassification to current portion	379,619,904	(379,619,904)	-	207,362,000	(207,362,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	-	663,000	-	663,000
Amortization of discount on debentures	124,389	350,122	-	-	-	-	474,511
Changes in lease	-	-	-	-	-	26,832,215	26,832,215
Gain on lease cancellation	-	-	-	-	-	(4,660)	(4,660)
At December 31, 2023	₩ 379,723,014	₩ 119,782,550	₩ 220,000,000	₩ 208,682,000	₩ -	₩278,203,961	₩1,206,391,525

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	2022						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2022	₩ -	₩ 538,553,996	₩ 50,000,000	₩ 109,855,000	₩ 576,130,000	₩ 15,342,361	₩ 1,289,881,357
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	50,000,000	-	91,903,000	-	141,903,000
Repayment of borrowing liabilities	-	-	(50,000,000)	(109,855,000)	-	-	(159,855,000)
Payment of lease	-	-	-	-	-	(55,185,705)	(55,185,705)
Others:							
Reclassification to current portion	39,954,382	(39,954,382)	-	425,565,000	(425,565,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	2,454,000	3,570,000	-	6,024,000
Amortization of discount on debentures	24,339	452,718	-	-	-	-	477,057
Changes in lease	-	-	-	-	-	447,754,762	447,754,762
Gain on lease cancellation	-	-	-	-	-	(686,968)	(686,968)
At December 31, 2022	₩ 39,978,721	₩ 499,052,332	₩ 50,000,000	₩ 428,019,000	₩ 246,038,000	₩ 407,224,450	₩ 1,670,312,503

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33. Financial Risk Management

The Company is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risks, and the Company's management of capital. Further quantitative disclosures are included throughout these financial statements.

(a) Financial risk management

The Company's risk management policies are established to identify and analyze the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company.

(b) Credit risk

The Company assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Company periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Company's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Cash and cash equivalents	₩ 230,790,685	₩ 757,945,988
Short-term financial instruments	1,650,000,000	2,168,901,000
Financial assets at fair value through profit or loss	-	98,505,712
Long-term financial instruments	5,186,000	5,187,000
Trade and other receivables	360,340,186	471,007,564
Derivative assets	4,512,654	11,762,071
Deposits provided	49,441,660	51,240,141
Contract assets - unbilled	24,791,698	47,334,765
	<u>₩ 2,325,062,883</u>	<u>₩ 3,611,884,241</u>

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The Company applies the simplified approach to measuring expected credit losses which uses a lifetime expected allowance for credit losses for all trade receivables and other receivables and contract assets. The contract assets have substantially the same risk characteristics as the trade receivables and other receivables for the same types of contracts. The Company has, therefore, concluded that the expected loss rates for trade receivables and other receivables are a reasonable approximation of the loss rates for the contract assets.

The Company applies expected credit loss rates considering the forward looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Company considered that there was evidence of impairment if any of the following indicators were present:

- significant financial difficulties of the debtor
- probability that the debtor will enter bankruptcy or financial reorganization, and
- default or delinquency in payments

On that basis, the allowance for credit losses as at December 31, 2023 and 2022 was determined as follows for both trade receivables and other receivables and contract assets:

(in thousands of Korean won)	Past due						Total
	Current	Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	
December 31, 2023							
Expected loss rate	1.38%	0.57%	1.32%	77.30%	40.85%	98.01%	10.32%
Gross carrying amount – trade receivables	₩ 312,158,511	₩ 6,347,101	₩ 7,749,649	₩ 9,217,982	₩ 6,683,211	₩ 33,858,129	₩ 376,014,583
Gross carrying amount – other receivables	69,393,123	52,767	74,432	4,655	51,318	75,569	69,651,864
Gross carrying amount – contract assets	28,335,147	-	-	-	-	-	28,335,147
Loss allowance provision	(5,647,694)	(36,451)	(103,039)	(7,129,453)	(2,750,796)	(33,258,835)	(48,926,268)
December 31, 2022							
Expected loss rate	0.34%	0.90%	3.42%	2.80%	59.27%	0.00%	4.63%
Gross carrying amount – trade receivables	₩ 403,081,576	₩ 21,264,557	₩ 2,358,379	₩ 4,687,044	₩ 42,291,777	₩ -	₩ 473,683,333
Gross carrying amount – other receivables	67,441,719	49,307	8,270	217	70,310	-	67,569,823
Gross carrying amount – contract assets	47,978,049	-	-	-	-	-	47,978,049
Loss allowance provision	(1,751,470)	(192,742)	(80,825)	(131,275)	(25,107,949)	-	(27,264,261)

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Movements in the loss allowance provision for trade and other receivables and contract assets for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Trade receivables		Other receivables		Contract assets	
	2023	2022	2023	2022	2023	2022
Beginning balance	₩ 26,564,727	₩ 4,844,509	₩ 56,249	₩ 12,939	₩ 643,285	₩ -
Increase in loss allowance recognized in profit or loss during the year	18,431,394	21,720,218	330,449	43,310	2,900,164	643,285
Ending balance	₩ 44,996,121	₩ 26,564,727	₩ 386,698	₩ 56,249	₩ 3,543,449	₩ 643,285

(c) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Company manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as at December 31, 2023 and 2022, including estimated interest payments and excluding the impact of netting agreements. The Company does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

(in thousands of Korean won)	2023					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 888,790,398	₩ 888,790,398	₩ 888,790,398	₩ -	₩ -	₩ -
Lease liabilities	278,203,961	278,847,578	142,629,422	130,515,506	5,342,918	359,732
Debentures	499,505,564	511,915,111	387,507,876	2,632,800	121,774,435	-
Short-term borrowings	220,000,000	228,073,367	228,073,367	-	-	-
Long-term borrowings	208,682,000	212,596,181	212,596,181	-	-	-
	₩2,095,181,923	₩2,120,222,635	₩ 1,859,597,244	₩ 133,148,306	₩ 127,117,353	₩ 359,732

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(in thousands of Korean won)	2022					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩2,044,448,116	₩2,067,386,372	₩ 1,511,618,374	₩ 555,767,998	₩ -	₩ -
Lease liabilities	407,224,450	408,117,994	141,080,059	133,743,129	127,807,535	5,487,271
Debentures	539,031,054	562,194,181	50,279,070	387,507,876	2,632,800	121,774,435
Short-term borrowings	50,000,000	51,720,521	51,720,521	-	-	-
Long-term borrowings	674,057,000	703,807,067	450,242,774	214,927,280	38,637,013	-
	<u>₩3,714,760,620</u>	<u>₩3,793,226,135</u>	<u>₩ 2,204,940,798</u>	<u>₩1,291,946,283</u>	<u>₩ 169,077,348</u>	<u>₩127,261,706</u>

(d) *Currency risk*

The Company is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Company establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) *Exposure to currency risk*

The Company's exposure to foreign currency risk as at December 31, 2023 and 2022, is as follows:

(in thousands of Korean won)	2023				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 193,410,000	₩ -	₩ -	₩ -	₩ -
Short-term financial instruments	-	-	-	-	-
Trade and other receivables	363,437,971	1,249,905	9,576	-	879,010
Contract assets	27,794,179	-	-	-	-
	<u>584,642,150</u>	<u>1,249,905</u>	<u>9,576</u>	<u>-</u>	<u>879,010</u>
Liabilities:					
Borrowings ¹	38,682,000	-	-	-	-
Trade and other payables	557,576,279	938,001	9,576	169,407	786,105
	<u>596,258,279</u>	<u>938,001</u>	<u>9,576</u>	<u>169,407</u>	<u>786,105</u>
	<u>₩ (11,616,129)</u>	<u>₩ 311,904</u>	<u>₩ -</u>	<u>₩ (169,407)</u>	<u>₩ 92,905</u>

¹ Borrowings in foreign currency with a foreign currency swap are excluded as they are not exposed to currency risk.

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(in thousands of Korean won)	2022			
	USD	EUR	JPY	GBP
Assets:				
Cash equivalents	₩ 108,703,756	₩ -	₩ -	-
Short-term financial instruments	468,901,000	-	-	-
Trade and other receivables	458,113,849	129,508	-	971,501
Contract assets	47,141,315	-	-	-
	<u>1,082,859,920</u>	<u>129,508</u>	<u>-</u>	<u>971,501</u>
Liabilities:	-	-	-	-
Borrowings ¹	38,019,000	-	-	-
Trade and other payables	1,526,356,269	1,938,777	2,500,456	59,424
	<u>1,564,375,269</u>	<u>1,938,777</u>	<u>2,500,456</u>	<u>59,424</u>
	<u>₩ (481,515,349)</u>	<u>₩ (1,809,269)</u>	<u>₩ (2,500,456)</u>	<u>₩ 912,077</u>

¹ Foreign currency borrowings with a foreign currency swap are excluded as they are not exposed to currency risk.

(ii) The significant exchange rates applied for the years ended December 31, 2023 and 2022, are as follows:

(in Korean won)	2023		2022	
	Average rate	December 31, 2023	Average rate	December 31, 2022
USD	₩ 1,307.90	₩ 1,289.40	₩ 1,291.95	₩ 1,267.30
EUR	1,415.38	1,426.59	1,357.38	1,351.20
CHF	1,457.07	1,526.82	1,352.05	1,372.87
JPY(100 ¥)	933.14	912.66	983.44	953.18
GBP	1,627.42	1,641.79	1,592.33	1,527.67

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(iii) Sensitivity analysis

The Company internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened Korean won on the Company's income before tax for the year. The analysis is based on the assumption that Korean won has weakened/strengthened by 10% with all other variables held constant.

(in thousands of Korean won)

	2023		2022	
	10% increase	10% decrease	10% increase	10% decrease
USD	₩ (1,161,613)	₩ 1,161,613	₩ (48,151,536)	₩ 48,151,536
EUR	31,190	(31,190)	(180,927)	180,927
JPY	(16,941)	16,941	(250,046)	250,046
GBP	9,290	(9,290)	91,208	(91,208)
	₩ (1,138,074)	₩ 1,138,074	₩ (48,491,301)	₩ 48,491,301

(e) Interest rate risk

The Company is exposed to interest rate risk because they raised funds with interests paid at variable rate. The effects of changes in interest rates by 0.5% applied to the profit and loss (before tax) for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023		2022	
	0.5% increase	0.5% decrease	0.5% increase	0.5% decrease
Increase (decrease) in profit before income tax	₩ (1,400,000)	₩ 1,400,000	₩ (1,368,094)	₩ 1,368,094

(f) Capital management

The Company's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Company may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023	2022
Total liabilities (A)	₩ 3,592,626,822	₩ 4,869,235,661
Total equity (B)	8,238,633,783	7,296,603,218
Debt-to-equity ratio (A/B)	43.61%	66.73%

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34. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company’s Financial Statements from 2012 to 2015 regarding the Company’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company’s accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the “Court”). As at the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress. On September 24, 2020, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court’s first trial on October 16, 2020 and the litigation is currently in progress at the Seoul High Court.

In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC’s measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated. If the Company’s financial statements are restated in accordance with the SFC’s measures, there is no effect on the Company’s separate financial statements for the year ended December 31, 2023.

With respect to this matter, the investigation by the prosecutor against the Company’s former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggravated Punishment of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was

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carried out. In 2021, the Company's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggravated Punishment of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. On February 5, 2024, the Seoul District Court acquitted the Company's former CEO and CFO on charges of violation of the Act on External Audit of Stock companies, and the prosecutor appealed the Court's acquittal on February 8, 2024.

In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

Meanwhile, on December 9, 2019, employees of the Company and Company's affiliate who were arrested on allegations of evidence destruction, were found guilty of violating the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of the Company's affiliates appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.



**Independent Auditor's Report on
Internal Control over Financial Reporting**

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion on Internal Control over Financial Reporting

We have audited Samsung Biologics Co., Ltd.'s (the "Company") Internal Control over Financial Reporting as of December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

In our opinion, the Company maintained, in all material respects, effective internal control over financial reporting as of December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We also have audited, in accordance with Korean Standards on Auditing, the separate financial statements of the Company, which comprise the separate statement of financial position as at December 31, 2023, and the separate statement of comprehensive income, separate statement of changes in equity and separate statement of cash flow for the year then ended, and notes to the separate financial statements including a summary of significant accounting policies, and our report dated February 28, 2024 expressed an unqualified opinion.

Basis for Opinion on Internal Control over Financial Reporting

We conducted our audit in accordance with Korean Standards on Auditing. Our responsibility under these standards are further described in the *Auditor's Responsibilities for the Audit of the Internal Control over Financial Reporting* section of our report. We are independent of the Company in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of internal control over financial reporting and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management and Those Charged with Governance for Internal Control over Financial Reporting

Management is responsible for designing, implementing and maintaining effective internal control over financial reporting, and for its assessment about the effectiveness of internal control over financial reporting, included in the accompanying Management's Report on the Effectiveness of Internal Control over Financial Reporting.

Those charged with governance have the responsibilities for overseeing internal control over financial reporting.

Auditor's Responsibilities for the Audit of Internal Control over Financial Reporting

Our responsibility is to express opinion on the Company's internal control over financial reporting based on our audit. We conducted the audit in accordance with Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

An audit of internal control over financial reporting involves performing procedures to obtain audit evidence about whether a material weakness exists. The procedures selected depend on the auditor's judgment, including the assessment of the risks that a material weakness exists. An audit includes obtaining an understanding of internal control over financial reporting and testing and evaluating the design and operating effectiveness of internal control over financial reporting based on the assessed risk.

Definition and Inherent Limitations of Internal Control over Financial Reporting

An entity's internal control over financial reporting is a process effected by those charged with governance, management, and other personnel, designed to provide reasonable assurance regarding the preparation of reliable financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea. An entity's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the entity; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea, and that receipts and expenditures of the entity are being made only in accordance with authorizations of management and those charged with governance; and (3) provide reasonable assurance regarding prevention, or timely detection and correction of unauthorized acquisition, use, or disposition of the entity's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent, or detect and correct, misstatements. Also, projections of any assessment of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samil PricewaterhouseCoopers

Seoul, Korea

February 28, 2024

This report is effective as of February 28, 2024, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the Company's internal control over financial reporting thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

**Management's Report on the Effectiveness of
Internal Control over Financial Reporting**

(English Translation of a Report Originally Issued in Korean)

To the Shareholders, Board of Directors and Audit Committee of
Samsung Biologics Co., Ltd.

We, as the Chief Executive Officer (CEO) and the Internal Control over Financial Reporting Officer of Samsung Biologics Co., Ltd. (the "Company"), assessed the effectiveness of the design and operation of the Company's Internal Control over Financial Reporting (ICFR) for the year ended December 31, 2023.

The Company's management, including ourselves, is responsible for designing and operating ICFR. We assessed the design and operating effectiveness of ICFR in the prevention and detection of an error or fraud which may cause material misstatements in the preparation and disclosure of reliable financial statements. We designed and operated ICFR in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting* established by the Operating Committee of Internal Control over Financial Reporting in Korea (the ICFR Committee). And, we conducted an evaluation of ICFR based on *Best Practice Guideline for Evaluating and Reporting Effectiveness of Internal Control over Financial Reporting* established by the ICFR Committee.

Based on the assessment results, we believe that the Company's ICFR, as of December 31, 2023, is designed and operating effectively, in all material respects, in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We certify that this report does not contain any untrue statement of a fact, or omit to state a fact necessary to be presented herein. We also certify that this report does not contain or present any statement which cause material misunderstandings, and we have reviewed and verified this report with sufficient due care.

February 14, 2024

John Rim,
Chief Executive Officer

Dong Joong Kim,
Internal Control over Financial Reporting Officer